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Corporate Litigation, Governance, and the Role of Law Firms

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ABSTRACT

We study plaintiff law firms in corporate litigation, focusing on "star" firms that dominate settlement outcomes. Stars are associated with larger settlements; however, much of this effect is predicted by the defendant's litigation insurance coverage, suggesting assortative matching of stars with lawsuits that have ex ante larger expected payoffs. Moreover, stars charge higher fees for a given settlement size. Additional tests suggest that visibility and information asymmetry vis-à-vis less sophisticated plaintiffs help sustain the stars' market

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share. These findings advance our understanding of corporate litigation and the agency relationship between plaintiff law firms and their clients.

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1. *Introduction*

Corporate litigation risk is the subject of a voluminous body of research in accounting, economics, and finance. Litigation risk is salient because the threat of large legal settlements, such as in the lawsuits against Enron ($7 bn in a securities class action in 2008), GlaxoSmithKline ($3 bn in a product liability action in 2012), or Abbott Laboratories ($1.8 bn for intellectual property infringement in 2009), can discipline corporations and their managers. Existing literature has identified factors influencing lawsuit success and settlement size, such as disclosure in earnings forecasts (Billings and Cedergren [2015]), information bundling in restatements (Bliss, Partnoy and Furchtgot [2018]), disclosure quality (Cutler, Davis, and Peterson [2019]), managerial risk preferences (Adhikari, Agarwal and Malm [2019]), or characteristics of the lead plaintiffs (Choi, Erickson, and Pritchard [2023]) or the courts (Liu [2020], Nguen, Raghunandan, and Scherf [2025], Huang et al. [2025], Jia [2025]).

Far less is known about the role of plaintiff law firms, despite their strong association with lawsuit outcomes: since the 1970s, the top 10 firms have captured about one-third of aggregate corporate litigation settlements in the United States. Operating in a distinct, reputation-driven, professional services market (Baker and Griffith [2010, pp. 14–18]), these firms play a critical role that remains underexplored. Do top (or "star") plaintiff law firms provide their clients with a better service, and in what ways? How competitive is the market for their services? Are there frictions that limit competition from less prestigious law firms? Addressing these questions can illuminate their agency relationship with clients, enhance our understanding of the litigation process, and provide insights into its economic implications.

We attempt to answer these questions using a novel, comprehensive database on plaintiff law firms in corporate litigation in the United States. We provide fresh evidence on the performance of the leading, "star" plaintiff law firms, documenting that they are associated with much larger settlements than other law firms and that, holding the settlement size fixed, they charge higher fees. We examine to what extent this can be explained by a greater ability on part of the stars or by an economic "selection" mechanism that matches them to lawsuits where a larger settlement can be expected in the first place, regardless of the plaintiff law firm, and whether nonperformance factors, such as the stars' visibility and information asymmetry vis-à-vis less sophisticated plaintiffs, relate to their market share.

We assemble what is, to our knowledge, the largest data set on plaintiff law firms active in corporate litigation in the United States. We combine commercial databases with hand-collected information from public sources, reporting over 35,000 lawsuits against publicly listed firms from 1970 to 2020. Our data cover a broader range of law firm practice areas than analyzed in most previous studies, from lawsuits brought by shareholders (including, but not limited to, shareholder class actions), to intellectual property lawsuits (including, but not limited to, patent litigation), to employment, product liability, and antitrust lawsuits, as well as lawsuits related to aspects of a given industry and to government contracts and relations. The data report information about the plaintiffs and plaintiff law firms, the defendant corporations and defense law firms, the outcome of the litigation, the settlement amount and how much of it is covered by litigation insurance, and (for a subset of the lawsuits) the price of insurance.

As a benchmark for plaintiff law firm ability, we use the insurance coverage that defendant corporations obtain prior to receiving a lawsuit. Intuitively, if a corporation buys \$100 million insurance coverage, that suggests that it anticipates to be exposed to a \$100 million settlement in the event of litigation. The plaintiff law firm should thus be able to secure as a settlement at least a corresponding amount, making it a useful gauge for the value of the "selection" mechanism. The distance between the actual settlement and the insurance coverage estimates the star's ability over and above the value of selection. We formalize this intuition with an equilibrium model that provides a framework to assess the selection effect in our empirical tests. We perform extensive checks on the quality of insurance coverage as a proxy for the expected settlement amount conditional on litigation, as well as additional tests that also address the potential selection effect but do not rely on this measure.

We find that star plaintiff law firms are associated with larger settlements: on average, 48% larger than other plaintiff law firms. Much of that difference, however, is predicted by the litigation insurance coverage that corporations obtain ex ante, prior to receiving a lawsuit. Net of that benchmark, the star law firms still outperform other law firms, but by a more modest, although economically nonnegligible, 7%. For the average (median) lawsuit in our data, that corresponds to a \$1.4 million (\$210,000) larger settlement. This aligns with the idea that an economic mechanism matches star plaintiff law firms with lawsuits where a larger settlement is expected in the first place. Further checks, based on the Heckman [1978] two-stage approach and the Oster [2019] adjustment, also support the notion that, although star law firms exhibit a better performance than other firms, a "naïve" comparison of raw settlement amounts may overstate their impact due to selection.

Our baseline finding is robust to using alternative proxies for law firm star status and alternative treatments of the standard errors, including a broad set of controls and fixed effects, controlling for the status of the defense law firms, and restricting the sample to shareholder lawsuits; moreover, stars do not appear to have superior ability to obtain nonmonetary benefits for the plaintiffs, such as changes in the defendant corporation's governance. At the same time, for a given size of the settlement amount, star law firms charge their clients larger fees.

The fact that, once we adjust for selection, the stars' performance is more modest raises the question of what sustains their market share. Two possibilities stand out: (1) their ability to reduce uncertainty about lawsuit outcomes, and (2) factors unrelated to performance, such as visibility and information asymmetry.

To assess the first possibility, we ask if stars reduce the likelihood of lawsuits being dismissed. We find that the lawsuits brought by the stars are 7%–12% more likely to reach a settlement. Although sizable, this too can contain a selection component and overestimate the actual impact of the stars, for instance, if they tend to target lawsuits that are more likely to be settled in the first place. Alternatively, plaintiffs may hire a star law firm only on more challenging lawsuits that are less likely to succeed—in this case, the 12% may underestimate the effect. If the stars are indeed retained for more challenging lawsuits, the defendants facing stars should ex ante pay lower insurance premiums, as they are less exposed to litigation. We find that this is not the case, suggesting that 12% is an upper bound on the impact of the star law firms on the uncertainty of the lawsuit's outcome.

Turning to the second possibility, two pieces of evidence suggest that visibility and information asymmetry vis-à-vis less sophisticated plaintiffs help the stars defend their market share. First, star plaintiff law firms are systematically different from other plaintiff law firms: they employ a larger number of lawyers and other key employees, they have a bigger online presence in the form of a larger web page, and they have a longer history. This suggests that they are more visible to prospective clients. Second, star law firms are associated with a worse performance of the lawsuit when they are retained by less sophisticated plaintiffs, such as private companies, whereas more sophisticated ones such as mutual fund companies and authorities (e.g., the Department of Justice [DOJ] or the Securities and Exchange Commission [SEC]) are associated with a better performance. This is consistent with more sophisticated plaintiffs having a superior ability to select and monitor law firms to bring their lawsuits.

Our paper makes three main contributions. First, it contributes to the accounting literature on corporate litigation. A large body of work has studied the determinants of success of corporate lawsuits and of the size of legal settlements (Correia [2014], Billings and Cedergren [2015], Frankel, Lee, and Lemayian [2017], Bliss, Partnoy and Furchtgot [2018], Adhikari, Agarwal and Malm [2019], Cutler, Davis, and Peterson [2019], Liu [2020], Huang et al. [2025], Jia [2025]), the impact of litigation on corporate actions (Rogers and Van Buskirk [2009], Kedia and Rajgopal [2011], Rogers, Van Buskirk, and Zechman [2011], Billings, Cedergren, and Dube [2021]), and the determinants and disciplining effects of litigation risk (Francis, Philbrick, and Schipper [1994], Skinner [1994], Skinner [1997], Johnson, Kasznik, and Nelson [2001], Field, Lowry, and Shu [2005], Chung and

Wynn [2008], Karpoff, Lee, and Martin [2008], Mahoney [2009], Donelson et al. [2012], Kim and Skinner [2012], Kaplan and Williams [2013], Lennox, Lisowsky, and Pittman [2013], Bourveau, Lou, and Wang [2017], Huang, Hui, and Li [2019]).[1] Recent work on appraisal litigation around M&As has further highlighted the relevance of litigation risk in corporate finance and valuation (e.g., Jiang et al. [2016], Callahan, Palia, and Talley [2018], Boone, Broughman, and Macias [2019], Jetley and Huang [2020], Jiang, Li, and Thomas [2020], Stewart [2023], Imperatore et al. [2024]). Despite the importance of the topic of corporate litigation testified by this voluminous literature, little empirical work has analyzed plaintiff law firms. This is surprising, given their institutional role, and given their economic importance as they capture about one-third of legal settlements (Spier [2007, p. 307]). We provide, to our knowledge, the first large-scale quantitative evidence on the performance of plaintiff law firms in corporate litigation. Our findings complement existing work and suggest that star plaintiff law firms can affect settlement size, the risk of dismissal of the lawsuit, and fees, and that there are nonnegligible differences in litigation outcomes associated with different plaintiff law firms.

Second, our paper links the accounting and corporate finance literature on the effectiveness of corporate litigation with the law and economics literature on the principal–agent conflicts between law firms and their clients (e.g., Coffee [2010]). Thus far the design of plaintiff law firm incentives such as contingent fees has mainly been the subject of theoretical studies (Rubinfeld and Scotchmer [1993], Sieg [2000], Santore and Viard [2001], Spier [2007, pp. 307–310]). We provide a set of novel empirical facts on the outcomes of corporate litigation: star law firms are associated with larger settlements, lower probability of a dismissal of the lawsuit, and, for a given

[1] A large, related literature on corporate litigation has also developed in corporate finance, economics, and law; as shown in appendix table A.1, at least 103 papers on this topic have appeared since 1980, many of which are published in the top accounting, economics, finance, and law journals. The drivers of litigation risk are examined by DuCharme, Malatesta, and Sefcik (2004), Field, Lowry, and Shu [2005], Ferris et al. [2007], Peng and Roell [2008], Johnson, Ryan, and Tian [2009], Wang, Winton, and Yu [2010], Rogers, Van Buskirk, and Zechman [2011], Bollen and Pool [2012], Hutton, Jiang, and Kumar (2015), Biggerstaff, Cicero, and Puckett [2015], Khanna, Kim, and Lu [2015], Bliss, Partnoy, and Furchtgot [2018]. The incentive effects of exposure to litigation are analyzed by Chalmers, Dann, and Harford [2002], Chung and Wynn [2008], Hanley and Hoberg [2012], Brochet and Srinivasan [2014], Banerjee et al. [2018], Lin, Liu, and Manso [2021], Mezzanotti [2021]. The impact of litigation on valuation and corporate actions is studied by Bizjak and Coles [1995], Haslem [2005], Bhattacharya, Galpin, and Haslem [2007], Fich and Shivdasani [2007], Karpoff, Lee, and Martin, [2008a], [2008b]), Gande and Lewis [2009], Murphy, Shrieves, and Tibbs [2009], Rogers and Van Buskirk [2009], Cheng et al. [2010], Tian, Udell, and Yu [2016], Haslem, Hutton, and Smith [2017], Karpoff et al. [2017], Cohen, Gurun, and Kominers [2019], and Barko, Renneboog, and Zhang [2023]. An additional factor affecting litigation risk can be judicial experience; we are not aware of empirical work relating it to corporate lawsuits, but Iverson et al. [2022] analyze it in the setting of bankruptcies.

settlement size, larger fees. Our evidence can help calibrate existing models and inform further theory development.

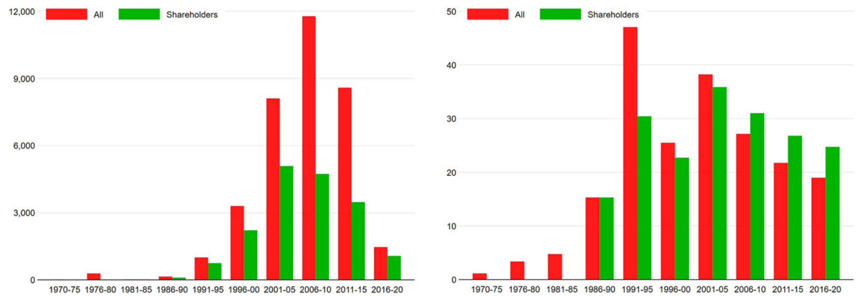
Third, our paper contributes to the literature studying "expertise" intermediaries that connect corporations with investors, consumers, employees, regulators, and other companies—such as auditing firms, consulting firms, investment banks, financial advisors, or rating agencies. Plaintiff law firms share important features with those intermediaries: their task is to provide information and know-how to their clients, and their industries have a tier structure where rankings are prominent and where the leading firms capture large market shares. The existing evidence on whether the leading firms deliver a superior service is mixed (e.g., Fang [2005], Louis [2005], Bao and Edmans [2011], Golubov, Petmezas, and Travlos [2012], Griffin, Lowery, and Saretto [2014], Xia [2014], Beatty et al. [2019], Bhaskar, Hopkins, and Schroeder [2019], Chen [2019], Huang, Hui, and Li [2019], Law and Mills [2019], Lee and Schantl [2019], Roychowdhury and Srinivasan [2019], Karsten, Malmendier, and Sautner [2022]). Our results indicate that even though star plaintiff law firms outperform other law firms, a nontrivial part of their performance may be attributed to a selection mechanism matching them to larger lawsuits. They also point to visibility and information asymmetry vis-à-vis less sophisticated plaintiffs as forces that can sustain the stars' market share.

2. *Data and Main Variables of Interest*

2.1 SAMPLE COMPOSITION

We rely on data from several sources on corporate litigation: Audit Analytics Litigation (AA), ISS Securities Class Action Services (ISS), the Federal Court Cases Integrated Database (FCC), Advisen Master Significant Cases and Actions Database (MSCAd), and the Stanford Securities Class Action Clearinghouse (SCAC). Moreover, we hand-collect additional information from the SEC Electronic Data Gathering, Analysis, and Retrieval (EDGAR) system and from law firm web pages. We merge lawsuits in the different databases by defendant company, court, docket number, filing date, and settlement date.

Our data set combines these sources to assemble a comprehensive collection of corporate lawsuits against U.S. publicly listed firms over the period 1970–2020. Together, our sources cover 98,865 individual lawsuits with known resolution, that is, settled or dismissed. When we require complete information on the settlement amounts and the identity of the plaintiff law firms, the sample is reduced to 35,138 lawsuits. Out of them, 82% are brought before federal courts, 17% before state courts, and the remaining 1% comprise a small number of lawsuits brought before foreign courts, regulators, or alternative dispute resolutions. In comparison, out of over



(a) **Lawsuit filings** (b) **Average settlement amounts ($MM)**

FIG. 1.—**Lawsuit filings and average settlement amounts, 1970–2020**.
In panel A, the figure plots the number of all corporate lawsuits (red bars) and shareholder lawsuits (green bars) filed in each five-year period since 1970. In panel B, it plots the average settlement amount (in 2015 $MM) associated with all corporate lawsuits (red bars) and shareholder lawsuits (green bars) settled in the same periods. The sample includes corporate lawsuits in our data that have been settled or dismissed over the period 1970–2020.

100 published and working papers involving corporate litigation data in the accounting, economics, finance, and law literatures since 1980 (appendix table A.1), the largest data set with complete information comprises around 18,000 lawsuits, and nearly all restrict the attention to federal court cases.[2] Figure 1 describes the number of corporate lawsuits over time; the data coverage is sparse until 1991, but after that date we observe an increase in litigation, reaching a peak in the 2006–2010 period with nearly 12,000 lawsuits against U.S. public companies.[3]

Our data set comprises a broad range of law firm practice areas, summarized in figure 2, panels A and B.[4] Around 50% of the lawsuits in our data (17,777) are securities, shareholder, and derivative lawsuits, out of which 14,436 are shareholder class actions and 1858 are derivative lawsuits.[5] Among the remaining practice areas, the most frequently occurring

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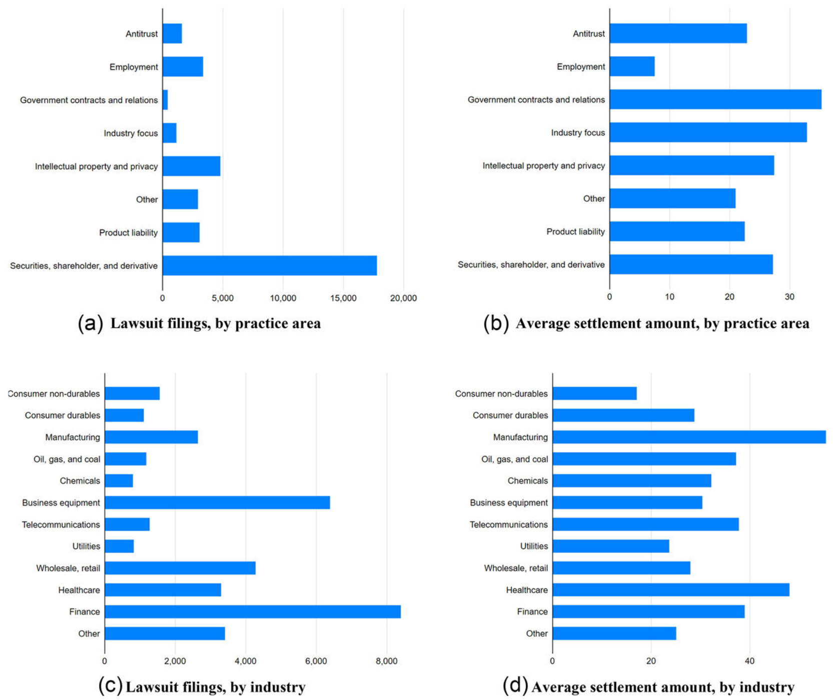
[2] An exception are a set of papers focused on appraisal petitions in M&As, which are brought in the Delaware Chancery Court, which is a state court (e.g., Jiang et al. [2016], Callahan, Palia, and Talley [2018], Boone, Broughman, and Macias [2019], Jetley and Huang [2020], Jiang, Li, and Thomas [2020]).

[3] Haslem, Hutton, and Smith [2017] run a number of tests on a large sample of 83,260 lawsuits; they have complete information on the resolution of the lawsuit, however, only on a smaller sample of 6091 lawsuits. Because our data only include lawsuits that have been resolved by 2020, there is some truncation in figure 1, as some lawsuits filed in the 2016–2020 period have not been resolved (settled or dismissed) by 2020. St. Pierre and Anderson [1984], Palmrose [1987, 1988, 1991], Stice [1991], Carcello and Palmrose [1994], and Lys and Watts [1994] focus on lawsuits against auditors.

[4] We adopt a classification of broad practice areas used in the legal profession from Legal500, an international ranking firm specializing in the legal sector with the United States as one of their main jurisdictions (https://www.legal500.com/c/united-states/).

[5] In a shareholder class action, a specific group or "class" of shareholders who have shared a common damage (e.g., shareholders who have bought the stocks of the company during a



(a) **Lawsuit filings, by practice area**

(b) **Average settlement amount, by practice area**

(c) **Lawsuit filings, by industry**

(d) **Average settlement amount, by industry**

FIG. 2.—**Lawsuit sample composition by industry and plaintiff law firm practice area.** The figure describes the composition of the lawsuit sample by litigation practice area (panels A and B) and Fama–French 12 industry (panels C and D). Panels A and C report the number of lawsuits filed in each litigation practice area and industry, and panels B and D the corresponding average settlement amounts (in 2015 \$MM). The sample includes corporate lawsuits in our data that have been settled or dismissed over the period 1970–2020.

ones are intellectual property and privacy (4792), employment (3361), and product liability (3069). Although securities, shareholder, and derivative lawsuits are the most frequent, they are the third largest category in terms of average settlement (figure 2, panel B).[6] Notable lawsuits in our data include shareholder class actions, such as the one against Enron (settled in 2008 for \$7.2 bn); product liability lawsuits, such as the one against GlaxoSmithKine over the drugs Paxil, Wellbutrin, and Avandia (settled in 2012

given time period) pursues claims for that damage. A class action requires that the number of parties (plaintiffs, defendants, or both) is so numerous that it would be impractical for each plaintiff to pursue an individual claim; a common question of law must exist, which makes it more efficient to hear all claims at once, and all cases must have a common issue. In a derivative lawsuit, the interests of all shareholders are encompassed. Before they can bring a derivative lawsuit, shareholders must petition the corporation's management to rectify the behavior that prompts the lawsuit. We enumerate the law firm practice areas (appendix table B.1).

[6] Settlement amounts, just as all dollar values in our study, are expressed in terms of constant 2015 dollars.

for $3 bn); intellectual property lawsuits, such as the one against Abbott Laboratories for patent infringement (settled in 2009 for $1.8 bn); or employment lawsuits, such as one brought against the Coca-Cola Company by its employees on the grounds of racial discrimination (settled in 2000 for $192 million). In comparison, most of the existing literature described in appendix table A.1 tends to focus on one practice area exclusively, the most common types being shareholder class actions (32 papers), regulatory enforcement actions (12 papers),[7] and intellectual property and privacy (9 papers). Because star plaintiff law firms are typically active over multiple practice areas, we run our tests including all litigation areas; however, as we show in robustness checks, our main results hold when we restrict the sample to the largest category, that is, shareholder lawsuits.

When we break down our sample by industry (figure 2, panels C and D), we find that out of the 12 Fama–French industries, lawsuits are most frequent in Finance and Business equipment. The largest average settlement amounts are found in Manufacturing, Healthcare, and Finance.

Multiple plaintiff and defendant law firms can be involved in a given lawsuit. In corporate litigation, nearly all law firms tend to specialize as either plaintiff or defendant (primarily to avoid conflicts of interest); we focus on plaintiff law firms.[8] Law firms are partnerships, and they are typically named after their most senior partners. Their names may change over time, reflecting, for example, a promotion to name partner or the departure of one or more name partners from the firm. We standardize firm names to account for alternative spellings, abbreviations, and typos, and to track firms across different sources and over time. The lawsuits in our data set involve 9913 individual plaintiff law firms; the average lawsuit is associated with two plaintiff law firms, and the average plaintiff law firm participates in ten lawsuits in our sample.

Throughout the analysis, we require that the outcome of a given lawsuit is known, that is, that the lawsuit has been either settled in court (voluntary under the auspices of the court or by court order) or dismissed in court by the end of our sample period.[9] Settlement occurs in 52% of the lawsuits in our data. Where we observe the settlement amount, we collect from the case description the amount of the settlement covered by insurance. Insurance coverage is, however, not universally disclosed; in our data, out of 18,100 settled lawsuits, 1572 reveal it.

[7] In our data, lawsuits related to regulatory enforcement actions fall into several litigation practice areas (78% are comprised in the "Securities, shareholder, and derivative" practice area). Call, Martin, Sharp, and Wilde [2018] using the data of Karpoff et al. (2017) report 1133 regulatory enforcement actions (we thank Professor Gerald Martin for sharing the data). We find the exact same number in our data. Unreported tests, omitted for brevity, show that all of our results are qualitatively and quantitatively similar if we treat lawsuits related to regulatory enforcement actions as a separate litigation practice area.

[8] In robustness tests described below, we control for the status of the defendant law firms.

[9] Virtually no corporate lawsuits go to trial; the vast majority are either settled or dismissed.

For settled cases in the overall sample, settlements are on average around \$21 million (table 1). The lawsuits with insurance disclosure involve larger settlements; for those lawsuits, the average settlement amount is around \$26 million. Although the difference is not statistically significant, in economic terms this suggests that (1) our baseline tests focus on the portion of the data that is economically more relevant, and (2) those tests are based on a set of lawsuits where plaintiff law firms seemingly generate larger amounts of money for their clients. Insurance coverage is on average 70% of the settlement, and in 58% of lawsuits with available information, the insurance covers over 90% of the settlement.[10]

2.2 STAR PLAINTIFF LAW FIRMS AND CHARACTERISTICS OF PLAINTIFF LAW FIRMS

The key variable of interest in our study is an indicator for dominant, or "star" plaintiff law firms. We consider several alternative indicators, based on our data as well as on practitioner rankings from the corporate litigation industry.[11]

The basic star plaintiff law firm indicator is based on a ranking of plaintiff law firms by the settlement amounts that they have generated over time. Cumulative settlement amounts are a natural measure of law firm status, as settlements are often reported by the press (especially for the most notable lawsuits), can be observed by their clients, and determine the firms' revenues. Moreover, revenues are an important input of many popular law firm rankings, which are widely available to industry practitioners and prospective clients. Fees are also closely related to law firm revenues, but they are more sparsely populated in our data sources; and as we confirm in robustness checks, the information contained in the settlement is similar.

We construct the $Star$ indicator as follows. We compute the cumulative settlement amount generated by each law firm in a given litigation practice area over a five-year period up to year $t-1$. We then rank law firms in year t in each practice area based on their cumulative settlements. The top 10 are designated as the stars.[12] The one-year lag between cumulative settlement amounts and law firm ranks ensures that the information about past performance (settlement) is available to prospective clients in year t, and that

[10] Appendix tables C.1, C.2, C.4, appendix figures C.1 and C.2, and appendix D provide additional evidence on and discuss the relation between insurance coverage and settlement amounts.

[11] We focus on rankings of law firms rather than individual lawyers. Law firm rankings are prominent in the industry and visible to prospective clients; and ranking companies tend to emphasize them: for instance, the Legal500 rankings, discussed below, stress that they focus on "teams, not individuals" and that they seek an "assessment of the overall strength and depth of a practice group." Other prominent practitioner rankings, such as Am Law or Vault Law 100, also focus on law firms rather than individuals.

[12] We rank plaintiff law firms within law firm practice areas (listed in appendix B) each year, to account for the possibility of specialization, that is, a law firm may be dominant in some litigation areas but not in others. In robustness checks, we find similar results when we rank law firms by their cumulative settlements across all practice areas.

TABLE 1
Descriptive Statistics

Variable	Mean (1)	SD (2)	P5 (3)	P25 (4)	Median (5)	P75 (6)	P95 (7)	N (8)
Star	0.218	0.413	0.000	0.000	0.000	0.000	1.000	35,138
Lawsuit settled (0/1)	0.515	0.500	0.000	0.000	1.000	1.000	1.000	35,138
Lawsuit duration(months)	33.346	29.473	2.200	12.900	25.233	44.267	99.200	35,138
Settlement ($MM)	10.632	41.273	0.000	0.000	0.000	3.383	45.466	35,138
Settlement|Lawsuit settled ($MM)	20.639	55.683	0.000	0.000	3.105	11.503	109.580	18,100
Settlement|Ins. coverage ($MM)	26.574	62.892	0.000	1.597	4.993	16.002	152.425	1572
Insurance coverage ($MM)	11.426	19.692	0.000	0.777	3.389	10.785	76.111	1572
Ins. coverage (fract. of settl. amount)	0.695	0.367	0.000	0.381	0.902	1.000	1.000	1572
Fees (fract. of settlement amount)	0.311	0.183	0.075	0.250	0.300	0.333	0.811	5841
Size	8.783	2.923	4.117	6.587	8.718	10.745	13.840	34,788
Sales growth	0.249	0.791	−0.271	−0.019	0.079	0.245	1.176	34,069
Leverage	0.617	0.262	0.164	0.433	0.613	0.854	0.968	26,346
Book-to-market	0.569	0.461	0.089	0.256	0.461	0.736	1.458	25,694
Return	0.002	0.045	−0.083	−0.019	0.007	0.026	0.066	27,658
Return volatility	0.129	0.082	0.042	0.070	0.107	0.162	0.299	27,590
Return skewness	0.152	0.752	−1.094	−0.336	0.123	0.626	1.468	27,510
Share turnover	0.245	0.211	0.041	0.106	0.183	0.309	0.667	27,698
Available web site (0/1)	0.522	0.500	0.000	0.000	1.000	1.000	1.000	21,813
Log-Website size	3.647	2.169	−0.644	2.495	4.000	5.255	6.531	11,387
Log-#Key employees	3.201	1.511	0.693	2.079	3.178	4.331	5.740	10,866
Log-Age (years)	2.550	1.076	0.693	1.946	2.565	3.258	4.511	14,403
Log-#States	0.204	0.464	0.000	0.000	0.000	0.000	1.386	13,566

The table reports descriptive statistics for the main variables used in the analysis. One observation corresponds to one lawsuit for all variables other than Available web site (0/1), Log-web site size, Log-# key employees, Log-age (years), and log-# states; for these variables, one observation corresponds to one law firm in one year. Settlement ($MM) denotes the settlement, reported in millions of 2015 dollars. The variables Settlement | Lawsuit settled ($MM) and Settlement | Insurance coverage ($MM) are identical to Settlement ($MM), except in that the sample is restricted to observations where the lawsuit is settled and where insurance coverage data are available, respectively. All the variables are defined in appendix table B.1.

there is no overlap between the dependent variables in most of our tests (related to settlements in individual lawsuits) and the law firm's rank.[13] Star law firms are associated with 22% of all settlements in our data. Well-known plaintiff law firms that we identify as "stars" include Robbins Geller Rudman & Dowd LLP; Bernstein Litowitz Berger & Grossman; Abraham, Fruchter, and Twersky LLP; Berger Montague; Gardy & Notis LLP (formerly known as Abbey, Gardy, and Squitieri LLP); Labaton Keller Sucharow LLP (formerly known as Goodkind Labaton Rudoff & Sucharow LLP); Milberg Coleman Bryson Phillips Grossman PLLC; and Wolf Haldenstein Adler Freeman & Herz LLP. In the average sample year 532 plaintiff law firms are active (1004 after 2010), and we observe a total of 9913 law firms, suggesting nontrivial entry and exit.

For robustness, we also consider several alternative measures of law firm status. First, $Star\ (fees)$ is a top-10 firm indicator based on cumulative past fees rather than settlements.[14] Second, we define $Star\ (count)$ based on the cumulative number of past settlements instead of the amount. Third, we define $Rank$ as a continuous measure of law firm status, equal to the cumulative five-year settlement amount normalized to lie between 0 and 1. This measure reflects the concentration of the distribution of market shares among law firms, assigning a higher value to firms with larger cumulative settlements. Fourth, we build indicators similar to the baseline $Star$ indicator, but restricting the attention to lawsuits where (1) the star plaintiff law firm is associated with the lead plaintiff and (2) the star plaintiff law firm is not associated with the lead plaintiff.[15]

Fifth, $Star\ (Legal500)$ is an indicator derived from the law firm rankings produced by Legal500, an international research and ranking company specializing in the legal sector. Legal500 publishes rankings, available since 2008, based on in-depth interviews with the law firms as well as peer and client feedback. $Star\ (Legal500)$ is equal to 1 if a law firm belongs to the set of "top tier" law firms in a given litigation area and year.[16] Although the data coverage of $Star\ (Legal500)$ is smaller than for our other measures and the construction of Legal500's rankings less transparent, this variable is a useful complement as it reflects practitioner opinion. $Star\ (Legal500)$

[13] In a number of cases, several firms act as plaintiff law firms on a given lawsuit. In our tests, we consider a given lawsuit as having a star plaintiff law firm if the team of plaintiff law firms contains at least one star. Similar results obtain if we use instead the fraction of stars among multiple plaintiff law firms on a given lawsuit.

[14] If the fees are not disclosed in the case descriptions, in the construction of this variable we impute the value of 30% of the settlement, which is close to the median fraction of the settlement amount destined to fees in our data and considered an industry standard (Baker and Griffith [2010], Spier [2007, p. 307]).

[15] Although plaintiff law firms are identified in all our input databases, lead plaintiffs are only flagged in the Audit Analytics and ISS databases, covering 24.7% of the lawsuits in our baseline sample.

[16] The mean (median) number of Legal500 top tier firms in a given law firm practice area and year is 22.7 (21.0).

and the *Star* indicator agree in defining the plaintiff law firm as a star or non-star in 84% of the lawsuits in our sample, indicating that, although not perfectly correlated, the two measures capture similar information.

In addition to these measures, we also collect data on several characteristics of plaintiff law firms. One challenge is that law firms are typically not publicly listed and as a result much less information is available about them in commercial databases. Even the Bureau van Dijk (BvD) database, which does report some information on private companies, typically only reports identifying information when it comes to law firms. We take that as our starting point and retrieve, wherever available, the web address of each law firm covered in the BvD database; we then use the web pages as a source of law firm characteristics.

To retrieve historical information rather than snapshots of the law firms at the time we access their web pages, we rely on the Internet Archive/Wayback Machine web site, which collects the historical versions of web pages going back to the year 1999. For each law firm whose web page we are able to trace, we scrape from the Wayback Machine the web page's version(s) with the nearest date to the lawsuit(s) associated with the law firm.

Moreover, we employ state-of-the-art textual analysis and natural language processing techniques such as named entity recognition to count the number of individual names listed on web site and thus measure the number of lawyers and other key employees of the law firm.[17] We also derive proxies for size and maturity of the law firm based on the size of its web page and the number of years since the firm's founding. In total, we are able to retrieve information about 4376 law firms, representing 44.14% of the law firms in our data and 74.75% of all lawsuits in our data.

Table 1 reports descriptive statistics for these characteristics. We are able to retrieve a web address for about 52% of the plaintiff law firms in our data. Among these, the average law firm has a web site size of 37 Kb of text, employs 24 lawyers and other key employees, and has a history of 12 years. We use this information in robustness checks reported in subsection 4.2.

2.3 OTHER VARIABLES OF INTEREST

In most of our tests we use control variables derived from the CRSP/Compustat Merged database. We match CRSP/Compustat to defendant corporations in our lawsuit data, using the SEC's Central Index Key (CIK) reported in the AA database and the tickers reported in the AA and SCAC databases, and by manually screening the defendant corporations' names where these identifiers are not available.

The main set of control variables used throughout the paper are: Size (natural logarithm of the defendant corporation's total assets), yearly sales growth rate, leverage (total liabilities divided by total assets),

[17] Appendix E describes the approach used to collect these data in greater detail.

book-to-market ratio, and stock return (monthly average over a one-year period); following Kim and Skinner [2012] we also control for stock return skewness, stock return volatility, and share turnover (ratio of the number of shares traded to the number of shares outstanding). These variables are defined with yearly frequency and expressed in their values as of the end of the year prior to a given lawsuit's filing date.

In robustness checks, we supplement these variables with additional controls retrieved from CRSP/Compustat, the IBES analyst forecast database, BoardEx, and the Thomson Reuters 13F Institutional Holdings database. We list the additional controls in subsection 4.2 and define them in appendix table B.1.

In the tests on changes to corporate governance described in subsection 4.4, we consider several measures related to governance quality. We consider two governance indexes, the Gompers, Ishii, and Metrick (2003) G-index and the Bebchuk, Cohen, and Ferrell [2009] E-Index. We also analyze CEO changes and CEO compensation data from the Compustat ExecuComp database, and board composition measures from BoardEx. These variables are also defined in appendix table B.1.

Finally, in tests discussed in section 5, we look at the pricing of litigation insurance the year prior to the filing of a lawsuit. We retrieve information on insurance prices from two sources. The first one is a proprietary database from a leading directors and officers (D&O) insurer, covering the premiums paid by its clients over the period 2006–2016. The second source is D&O insurance premiums disclosed by companies incorporated in the state of New York, mandated by New York Business Corporation Law, Section 726(d) (Donelson, Hopkins, and Yust [2018]), reporting premiums from 1994 onward. We retrieve the disclosed premium payments from 10-K and DEF-14A annual filings.

3. Institutional Background and Empirical Approach

3.1 THE MARKET FOR CORPORATE LITIGATION INSURANCE

Corporate litigation insurance is a central risk management tool. The features of the corporate litigation insurance market, which we discuss below, indicate that companies seek coverage for the full extent of the liability they expect and that insurers provide such coverage competitively. This suggests that litigation insurance coverage reflects an unbiased estimate of the expected settlement amount.

Corporations purchase litigation insurance in packages typically including multiple policies. A prominent example is D&O insurance, purchased by nearly all S&P500 firms (Larcker and Tayan [2021, p. 74]), which provides indemnity for costs associated with securities litigation and some fiduciary duty cases. Packages may also insure against liability for employment practices, professional liability, product liability, or environmental liability, among others.[18] Insurance contracts, moreover, include a prior claims exclusion, which rules out the possibility that the coverage may be ex post increased over the course of a lawsuit.

Prior to underwriting litigation insurance, the insurers obtain information about litigation risk from prospective insured corporations, collected through the application process and via independent research. Prospective insureds have an incentive to transparency in their application because an applicant furnishing untrue information creates the basis for a subsequent rescission action—in other words, the insurer may refuse to pay in the event of a future lawsuit settlement. The insurer's research is based on public data as well as on private information obtained from meetings with the applicant's senior management, typically covered by nondisclosure agreements. The information collected through these channels has broad scope, and ranges from the prospective insured's financials and corporate strategy to incentives and governance, to the background and personality of the managers (Baker and Griffith [2007]). Moreover, policies are renewed on a frequent basis (in many cases yearly), so that the data on which they are based are timely. Indeed, Core [2000] finds evidence that (D&O) premiums reflect the quality of the insured corporation's governance, Cao and Narayanamoorthy [2014] that restatements and lower quality earnings reporting are associated with higher D&O insurance premiums, and Chungd and Wynn (2008) use D&O coverage as a proxy for the entire legal liability coverage. In sum, the insurers collect information that enables them to form an unbiased assessment of the litigation risk of the prospective insured. That assessment is reflected in the insurance premium and coverage. Although some insurers have large market shares (for instance ACE, AIG, and Chubb in the D&O segment), in general the market for corporate litigation insurance is competitive and there are low barriers to entry. In addition, "shopping" for less expensive coverage is common (Baker and Griffith [2007]). These features suggest that corporate litigation insurance premiums are competitive, so that companies likely do not under-insure their litigation risk.[19]

The combination of (1) competitive markets for insurance and (2) the fact that companies likely do not under-insure due to noncompetitive market conditions suggests that the corporate litigation insurance coverage provides an unbiased estimate of the litigation settlement amounts a given corporation expects to face conditional on litigation. That is consistent with

[18] Some of the policies may have deductibles, which can reduce the insurance premium. The savings from deductibles are generally considered small and involve the risk of the company bearing higher costs in the event of litigation (Guggenheim and Henderson [2008]). A Towers Perrin [2008] survey reports that 66% of surveyed firms purchase D&O insurance with no deductibles at all.

[19] On the other hand, companies may in principle purchase more coverage than their expected liability. We address this possibility in additional checks in appendix D and find that it is unlikely to account for our findings.

a literature documenting the information content of corporate litigation insurance (Core [2000], Chalmers, Dann, and Harford [2002], Boyer and Stern [2014]).[20]

3.2 EMPIRICAL APPROACH

In the first part of our analysis, we focus on the effect of the star plaintiff law firm on the expected settlement amount. This section provides a framework to interpret our approach and our tests. With the aid of an equilibrium model of corporate litigation, we illustrate the source of the empirical challenge of separating the star law firm's treatment effect (i.e., its ability to generate a large settlement on *any* lawsuit) and the selection effect (i.e., an economic mechanism that makes the star more likely to be retained on lawsuits where the expected settlement is larger, regardless of the plaintiff law firm). Our framework also clarifies why using insurance coverage as a benchmark for settlements can isolate the treatment effect and thus help us understand if, and to what extent, star law firms affect corporate litigation settlements.

The intuition behind our approach is that if a corporation purchases litigation insurance covering it for \$100 million, it reveals that it expects that, in the event of litigation, it may be liable to settle for \$100 million. We formalize this intuition as follows. Assume that a lawsuit has an intrinsic baseline expected settlement amount (capturing the selection effect), and that the actual settlement can be increased relative to that benchmark depending on the ability of the plaintiff law firm (capturing the treatment effect), and consider a setting with the following players: a corporation, which may receive a lawsuit; insurance companies, which provide insurance against that lawsuit; and law firms, which may represent the plaintiffs on the lawsuit. There are two potential plaintiff law firms, a star (S) and a non-star (NS). The stars may differ in terms of (1) their tendency to be retained on lawsuits with a larger baseline settlement value, and (2) their ability to raise the expected settlement value above the baseline, giving rise to the empirical challenge to separate the treatment and selection components of the stars' performance. There are three dates 0, 1, and 2; zero discount rates and universal risk-neutrality are assumed.

At time 0, the corporation purchases insurance against lawsuits on a competitive insurance market. It seeks insurance due to institutional reasons, reflecting the fact that nearly all public U.S. firms have one; but it is otherwise risk-neutral.[21] Also at this date, the corporation determines how much

[20] Appendix table C.1, panel B, reports additional results relating the disclosure of insurance coverage to observable characteristics of the lawsuit, the defendant corporation, the plaintiff law firm, and the plaintiffs. We find that insurance coverage disclosure is more likely when the defendant is a large firm, when the plaintiff law firm is a star, when the settlement is large, and when the textual description of the lawsuit is more complex.

[21] For instance, it may be difficult to hire managers without providing them with D&O insurance (e.g., Larcker and Tayan [2021, p. 74]).

insurance coverage to purchase. At time 1, each law firm is retained by the plaintiffs on a lawsuit. At time 2, the lawsuit is settled or dismissed, and all payoffs are realized. The model's solution yields expressions for the equilibrium settlement amounts and insurance coverage, which we will relate to our empirical strategy.

The solution proceeds by backward induction: First, we determine the law firms' choice at time 1; next, we use it as an input for the corporation's and insurance companies' choices at time 0.

Let δ denote the probability that a given lawsuit reaches a settlement at all. Assume that δ is the same for all lawsuits (below we relax this assumption and discuss the implications). A baseline settlement value $R \in [0, \infty)$ is associated with each lawsuit. Each corporation observes at time 0 the value of R associated with the potential lawsuit it faces at time 1 and uses it as an input in its decision to purchase insurance coverage.

The actual settlement value, however, may be larger than R: conditional on reaching a settlement, the law firm scales up the expected settlement amount relative to the "baseline" R by a factor $k \geq 1$, interpreted as the treatment ability of the law firm, so that the final settlement amount is kR. Stars and non-stars have treatment abilities denoted by k_S and k_{NS}, in principle different from each other. The expected settlement given R and the law firm's treatment ability k is thus given by:

$$E\,(Settlement|k, R) = \delta k R. \tag{1}$$

The law firm's payoff is equal to a fraction of the settlement, and thus it equals 0 if a settlement is not reached; that is consistent with the "no win, no pay" contingent compensation that is predominant in corporate litigation (Brickman [1989], Horowitz [1995], Krishnan and Kritzer [1999]).[22] Similarly, the law firm's payoff is 0 if it does not pursue the lawsuit. Under these assumptions, both law firms always (weakly) prefer to pursue their lawsuits.

At time 0, the corporations and the insurance companies know R. Neither, on the other hand, knows what plaintiff law firm the corporation will face in a potential lawsuit at time 1. Corporations therefore demand an amount of insurance coverage equal to the expected settlement amount conditional on the lawsuit reaching a settlement, that is, $\bar{k}R$ where $\bar{k} \equiv \frac{1}{2}(k_S + k_{NS})$ denotes the average law firm's treatment ability. Insurance companies are competitive, so they set an insurance premium equal to the present value of the expected settlement they may have to pay, that is, $\delta \bar{k} R$. That is a fair price from the point of view of the risk-neutral corporation, so that no players have an incentive to deviate, and the model's solution is complete.

In the data, we observe the average settlement amount associated with a given law firm from equation (1). Introducing indexes for law firm f

[22] For simplicity, we abstract from any fixed costs that the plaintiff law firm may face.

and lawsuit i and a multiplicative error term $e^{\varepsilon_{if}}$ and taking logs yields the following expression for the log-settlement amount:

$$\ln\left(Settlement_{if}\right) = \ln(\delta) + \ln\left(k_f\right) + \ln(R_i) + \varepsilon_{if}. \tag{2}$$

If the star law firm is retained in lawsuit i and the non-star in lawsuit j the difference between the settlements is, in expectation:

$$\underbrace{\ln(k_S) - \ln(k_{NS})}_{\text{Treatment effect}} + \underbrace{\ln(R_i) - \ln\left(R_j\right)}_{\text{Selection effect}}. \tag{3}$$

In other words: If the star plaintiff law firm is associated with larger average settlements, that can be because it is able to reach a larger settlement ($k_S > k_{NS}$), because it tends to be retained in lawsuits that yield larger settlements in the first place ($R_i > R_j$), or both. That clarifies the empirical challenge of separating the treatment and selection effects.

Looking at the amount of insurance that is paid out in the settlement can help address that challenge. The institutional features of the litigation insurance market described above suggest that insurance coverage can be a good benchmark, as insurance companies have access to public as well as private litigation-relevant information and insurance itself is competitively priced. Moreover, litigation insurance is purchased prior to the filing of a lawsuit (typically, in the preceding year) and therefore prior to knowing the plaintiff law firm that the defendant corporation will face, if any.[23]

In our setting, the average insurance paid out in lawsuits litigated by law firm f is $\delta\bar{k}R$, that is, the insurance coverage purchased by the defendant corporations $\bar{k}R$ times the proportion δ of lawsuits that reach a settlement. Proceeding in a similar way as for the settlement amount, introducing indexes and a multiplicative error term $e^{\eta_{if}}$ and taking logs yields:

$$\ln\left(Coverage_{if}\right) = \ln(\delta) + \ln\left(\bar{k}\right) + \ln(R_i) + \eta_{if}, \tag{4}$$

where $Coverage_{if}$ denotes the dollar insurance amount that is paid out in the settlement. If the star law firm is retained in lawsuit i and the non-star

[23] The prior claims exclusion rules out the possibility that the insurance coverage may be altered after the filing of a lawsuit. In addition to these institutional features, two pieces of empirical evidence corroborate the notion that insurance coverage reflects the expected settlement amount in the event of litigation, and that insurance prices reflect the likelihood of a lawsuit. First, tests reported in appendix table C.1 (panel A) show that insurance payout alone explains 77% of the observed settlement amounts, whereas control variables as well as defendant, litigation area, and resolution year fixed effects explain only about 15%. Appendix figure C.1, moreover, shows that in nearly 60% of the settled lawsuits in our data the settlement amount exceeds the insurance payout by no more than 10%. Second, evidence summarized in appendix figure C.2 shows that insurance prices increase in the two years prior to the filing of a corporate lawsuit, with a statistically significant increase precisely prior to the filing. That is consistent with the notion that the insurance provider has access to information that the likelihood of a lawsuit has increased. Taken together, this evidence suggests that insurance companies do not apply one-size-fits-all contracts, but rather tailor their policies to specific information about their clients.

in lawsuit j, in expectation the difference in insurance coverage between the defendants in the two lawsuits is:

$$\ln(R_i) - \ln(R_j). \tag{5}$$

That is identical to the selection effect in equation (3). It follows that comparing log-settlement and log-insurance coverage between star and non-star law firms yields in expectation:

$$\ln(k_S) - \ln(k_{NS}), \tag{6}$$

thus isolating the treatment effect. The above expression clarifies our baseline approach: by comparing the difference between log-settlement and log-insurance coverage across lawsuits brought by star and non-star plaintiff law firms, we can assess the treatment effect of the stars.

Finally, suppose that the star and non-star plaintiff law firms have different probabilities of reaching a settlement δ_S and δ_{NS}. In this case equation (3) is modified as:

$$\underbrace{\ln(\delta_S) - \ln(\delta_{NS}) + \ln(k_S) - \ln(k_{NS})}_{\text{Treatment effect}} + \underbrace{\ln(R_i) - \ln(R_j)}_{\text{Selection effect}}. \tag{7}$$

The above expression indicates that our baseline approach still removes the selection effect $\ln(R_i) - \ln(R_j)$; however, the treatment effect may be driven by the effect of the star law firm on the settlement amount $(\ln(k_S) - \ln(k_{NS}))$ or on the probability of a settlement $(\ln(\delta_S) - \ln(\delta_{NS}))$.

To assess the latter component, recall that the insurance premium is $\delta\bar{k}R$ and the (ex ante) insurance coverage $\bar{k}R$, so that the ratio between the two returns the probability of reaching a settlement δ. If again the star law firm is retained in lawsuit i and the non-star in lawsuit j, taking logs we have in expectation:

$$\underbrace{\underbrace{\ln(\delta_S) + \ln(\bar{k}) + \ln(R_i)}_{\text{Log-insurance premium}} - \underbrace{\left[\ln(\bar{k}) + \ln(R_i)\right]}_{\text{Log-insurance coverage}}}_{\text{Lawsuit brought by the star plaintiff law firm}} - \underbrace{\left\{\underbrace{\ln(\delta_{NS}) + \ln(\bar{k}) + \ln(R_j)}_{\text{Log-insurance premium}} - \left[\underbrace{\ln(\bar{k}) + \ln(R_j)}_{\text{Log-insurance coverage}}\right]\right\}}_{\text{Lawsuit brought by the non-star plaintiff law firm}} = \ln(\delta_S) - \ln(\delta_{NS}). \tag{8}$$

In other words, by comparing the insurance premia paid (ex ante) by defendant corporations that face star and non-star plaintiff law firms, we can gauge the component of the starts' treatment effect associated with the probability of reaching a settlement (as opposed to the settlement's size).

4. *The Performance of Star Plaintiff Law Firms*

4.1 BASELINE RESULTS

This section reports our baseline test, relating the outcome of the lawsuit on the $Star$ plaintiff law firm indicator. We estimate:

$$y_{if} = \alpha + \beta Star_f + \gamma' x_{if} + \varepsilon_{if}, \quad (9)$$

where $Star$ denotes the star law firm indicator, equal to 1 if plaintiff law firm f is a top-10 law firm, and the control variables in x include firm size (log-total assets), sales growth, leverage, book-to-market, stock return, stock return skewness, stock return volatility, and stock turnover. The regression includes fixed effects for the resolution (settlement or dismissal) year and, depending on the specification, for law firm practice area and defendant corporation.[24] The dependent variable y_{if} is (1) the natural logarithm of the amount of the settlement (expressed in millions of 2015 dollars) plus 1, on lawsuit i with plaintiff law firm f, $LogSettlement_{if}$, (2) the natural logarithm of the part of the settlement covered by the litigation insurance (also expressed in millions of 2015 dollars) plus 1, $LogCoverage_{if}$, or (3) the difference $LogSettlement_{if} - LogCoverage_{if}$.[25] Equation (9) is estimated with standard errors clustered around defendant corporations.[26]

The estimates are reported in table 2. Columns 1–2 indicate that star law firms are associated with 39%–48% larger settlements, on average, than other plaintiff law firms. Columns 3–4 show that a sizeable component of that difference (32–39 percentage points) is predicted by the insurance payout, based on the insurance purchased by the defendant corporation prior to the filing of the lawsuit and to knowing the identity of the plaintiff

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[24] Including defendant firm fixed effects controls for firm-specific unobservables that could affect litigation, the size of the settlement amounts, and the insurance coverage. An example of such unobservables is corporate culture.

[25] We estimate equation (9) with the dependent variable in logarithms to be as close as possible to the equilibrium framework described in subsection 3.2. Cohn, Liu, and Wardlaw [2022] suggest estimating equation (9) with Poisson pseudo-maximum likelihood (PPML) estimation, rather than adding 1 to avoid taking the log of zero. One caveat is that the PPML estimation estimates $\ln(E[Settlement|Star])$ in equation (9) rather than $E[\ln(Settlement)|Star]$, and similarly for the log-insurance coverage. This implies that, due to Jensen's inequality, we cannot estimate a PPML regression with dependent variable $Settlement - Coverage$ and interpret it as the performance of the law firm net of the insurance benchmark (as $\ln(E[Settlement|Star]) - \ln(E[Coverage|Star])$ is different from $E[\ln(Settlement) - \ln(Coverage)|Star]$, the law firm's performance net of the benchmark). In a robustness check, omitted for brevity, we estimate separate PPML regressions of $Settlement$ and $Coverage$ on the $Star$ law firm indicator. In line with our findings, that test shows that star law firms are associated with larger settlements, but also with larger insurance coverage, by an amount corresponding to about 86% of the settlement.

[26] The standard errors are clustered around defendant corporations because some firms might be prone to receiving similar-sized lawsuits, generating correlation across all the lawsuits associated with a given defendant. Further checks reported in table 4 and appendix table C.6 reveal that the findings are robust to clustering along alternative dimensions.

TABLE 2
Star Plaintiff Law Firms and Lawsuit Outcomes

	LogSettlement		*LogCoverage*		*LogSettlement* − *LogCoverage*	
	(1)	(2)	(3)	(4)	(5)	(6)
Star	0.475***	0.390***	0.390***	0.321***	0.085***	0.069***
	(17.54)	(9.48)	(16.52)	(9.18)	(11.47)	(5.77)
Size		0.038		0.040		−0.001
		(1.28)		(1.63)		(−0.16)
Sales growth		0.157***		0.131***		0.026**
		(3.62)		(3.79)		(2.06)
Leverage		−0.266**		−0.193*		−0.073*
		(−2.24)		(−1.93)		(−1.84)
Book-to-market		−0.135***		−0.103***		−0.032***
		(−3.07)		(−2.82)		(−2.90)
Return		0.413		0.237		0.176
		(1.21)		(0.89)		(1.31)
Return volatility		0.819***		0.618**		0.200**
		(2.75)		(2.47)		(2.05)
Return skewness		−0.022*		−0.019**		−0.003
		(−1.76)		(−1.98)		(−0.62)
Share turnover		−0.396***		−0.354***		−0.042
		(−3.61)		(−3.92)		(−1.20)
Resolution year f.e.	Y	Y	Y	Y	Y	Y
Defendant corp. f.e.		Y		Y		Y
Practice area f.e.		Y		Y		Y
R^2	0.10	0.40	0.10	0.41	0.03	0.22
N	18,607	12,027	18,607	12,027	18,607	12,027

The table shows the estimates of: $y_{if} = \alpha + \beta Star_f + \gamma' x_{if} + \varepsilon_{if}$.

In columns 1 and 2, the dependent variable is the log-settlement amount *LogSettlement* on lawsuit i with plaintiff law firm f. In columns 3 and 4, the dependent variable is the log-insurance coverage *LogCoverage*. In columns 5 and 6, it is the difference between log-settlement amount and log-insurance coverage. $Star$ is an indicator variable equal to 1 if the plaintiff law firm ranks among the top-10 (based on the value of obtained settlements) in a given litigation practice area, and 0 otherwise (whenever multiple plaintiff law firms are bringing one lawsuit, the indicator is set to 1 if at least one of them is a top-10 firm). x is a vector of control variables listed in the table, including lawsuit resolution year, defendant firm, and litigation practice area fixed effects. All the variables are defined in appendix table B.1. The t-statistics, reported in parentheses, are based on standard errors clustered by defendant corporation. The symbols *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

law firm. Column 5 shows that the star law firms' performance, net of the insurance benchmark, is a more modest 8%, or 7% when we include control variables and defendant corporation and litigation area fixed effects in column 6.[27] Relative to the mean settlement of $20.6 million (table 1), the

[27] In the tests reported in table 2, the sample is restricted to lawsuits where the insurance payout on the settlement is disclosed or where the lawsuit is dismissed, as *LogCoverage* and *LogSettlement* − *LogCoverage* are defined only in those cases. Appendix table C.1, panel B, reports descriptive evidence indicating that the insurance disclosure is more likely when the defendant corporation is a large firm, when the plaintiff law firm is a star, and when the textual description of the lawsuit is more complex and less readable. Appendix table C.2 reports additional tests, where the log-settlement amount is regressed on the $Star$ indicator on the set

TABLE 3
Plaintiff Law Firm Fees and Settlement Amount

Subsample:	Star (1)	Non-Star (2)	Star (3)	Non-Star (4)
LogSettlement	-0.031^{***}	-0.060^{***}	-0.043^{***}	-0.062^{***}
	(−15.61)	(−20.24)	(−10.61)	(−10.63)
Controls			Y	Y
Resolution year f.e.	Y	Y	Y	Y
Defendant corp. f.e.			Y	Y
Practice area f.e.			Y	Y
R^2	0.17	0.18	0.44	0.55
N	2485	3357	1061	1407
Difference *F*-test (*p*-value)	60.37^{***} (0.00)		5.50^{**} (0.02)	

The table shows the estimates of a regression where the dependent variable is the ratio $Fees/Settlement$ (the dollar fees paid out to the plaintiff law firm divided by the dollar settlement), regressed on the log-settlement amount *LogSettlement* and the control variables (size, sales growth, leverage, book-to-market, return, return volatility, return skewness, and share turnover) and fixed effects used in table 2. In columns 1 and 3, the sample is restricted to the set of settled lawsuits associated with a star plaintiff law firm and for the sample with available fees information; in columns 2 and 4, the subsample comprises cases with non-star plaintiff law firms. The row labeled "Difference *F*-test (*p*-value)" reports the *F*-test statistic for the difference between the coefficients on *LogSettlement* in columns 1 and 2 and in columns 3 and 4, as well as the associated *p*-values. The specifications in columns 3 and 4 include the same set of control variables used in columns 2, 4, and 6 of table 2. In all specifications the *t*-statistics, reported in parentheses, are based on standard errors clustered by defendant company. The symbols ** and *** denote statistical significance at the 5% and 1% levels, respectively.

estimates of column 2 imply that star law firms are associated with a \$8.0 million (= 0.390 × \$20.6 million) larger settlement. The estimates of column 6, on the other hand, imply a \$1.4 million (= 0.069 × \$20.6 million) larger settlement net of the insurance benchmark. The implied value of selection is therefore \$6.6 million (= \$8.0 million – \$1.4 million). Relative to the median settlement of \$3.1 million, the corresponding effects are \$1.2 million (column 2) and \$214,000 (column 6), implying a value of selection of just under \$1 million. These findings suggest that out of the larger settlements associated with star law firms, 18% is related to treatment and that as much as 82% may reflect selection.

A separate question is how much the stars' clients pay in the form of fees. Plaintiff law firms are typically compensated with a "no gain, no pay" contingent fee (Spier [2007, p. 308]).[28] Anecdotal evidence from practitioners suggests that fees, as a percentage of the settlement amount, are lower in larger settlements. We confirm this in the estimates reported in table 3, where we find a negative relation between the percentage fees and *LogSettlement*. That relationship, however, is significantly weaker for star plaintiff law firms (the coefficients in columns 1 and 3 are smaller in magnitude than in columns 2 and 4). The implication is that, for a given settlement amount, star plaintiff law firms charge higher fees. As an illustra-

of observations where the insurance payout is not disclosed. The estimates of these regressions are very close to the ones reported in table 2, columns (1)–(2).

[28] Defense law firms, in contrast, are usually compensated with an hourly fee.

TABLE 4
Robustness

	LogSettlement		*LogSettlement − LogCoverage*	
	(1)	(2)	(3)	(4)
Star (baseline; based on settlement values)	0.390***	(9.48)	0.069***	(5.77)
Panel A: Alternative law firm status proxies				
Star(*fees*)	0.556***	(11.57)	0.066***	(5.47)
Star(*count*)	0.382***	(7.69)	0.073***	(6.55)
Rank (continuous law firm rank)	0.433***	(4.33)	0.127***	(5.15)
Star(*Legal*500)	0.389***	(8.32)	0.038***	(3.67)
Star (lead plaintiff law firm)	0.442***	(9.66)	0.046**	(2.29)
Star (nonlead plaintiff law firm)	0.096	(1.46)	−0.027	(−0.76)
Panel B: Shareholder lawsuits				
All shareholder lawsuits	0.381***	(8.85)	0.073***	(5.71)
Shareholder class actions	0.377***	(7.35)	0.056***	(3.56)
Matched sample of stars and would-be stars	0.350***	(5.31)	0.052**	(2.11)
Panel C: Alternative standard errors				
Fama–MacBeth combined with Newey–West with five-year lag	0.368***	(5.87)	0.078***	(4.90)
Cluster: defendant and court	0.390***	(5.52)	0.069***	(2.98)
Cluster: defendant and resolution year	0.390***	(7.22)	0.069***	(4.37)
Panel D: Additional controls and fixed effects				
Defendant corporation financials	0.416***	(7.98)	0.074***	(4.54)
+ Transparency and liquidity	0.420***	(7.84)	0.080***	(4.68)
+ Governance and ownership	0.407***	(7.59)	0.074***	(4.18)
+ Plaintiff law firm characteristics	0.384***	(6.97)	0.065***	(3.33)
+ Filing year and court f.e.	0.378***	(7.05)	0.060***	(3.02)
Panel E: Status of the defense law firm (terciles)				
Low	0.293***	(4.26)	0.057	(1.39)
Medium	0.397***	(4.37)	0.088***	(3.05)
High	0.389***	(4.60)	0.008	(0.23)

The table reports robustness checks on the baseline results. Each row corresponds to the estimates of two regressions similar to table 2; in columns 1 and 2, the dependent variable is the log-settlement amount; in columns 3 and 4 it is the difference between log-settlement amount and log-insurance coverage. For brevity, only the coefficient on the *Star* indicator is reported (or a related variable capturing the status of the plaintiff law firm), along with the associated *t*-statistic. Each regression includes the full set of control variables used in table 2, columns 2, 4, and 6, as well as resolution year, defendant corporation, and litigation practice area fixed effects. The first row reproduces the estimates of table 2, columns 2 and 6. In panel A, the *Star* indicator is replaced by alternative proxies for the plaintiff law firm's star status (defined in section 2 and appendix table B.1; in the regressions for star lead plaintiff law firm, we include an indicator equal to 1 when information on the lead plaintiffs is not available). In panel B, the sample is restricted to shareholder lawsuits, to shareholder class actions, or to a matched sample of stars and would-be stars. In panel C, alternative treatments of the standard errors are examined. In panel D, the baseline regressions of table 2 are augmented with additional controls (related to the defendant corporation's financials, its transparency and liquidity, its governance and ownership; for definitions see appendix table B.1) and fixed effects (filing year and court). In panel E, the sample is split into terciles based on the defense law firm's ranking (based on the number of cases won over the previous five years). Additional robustness checks are reported in appendix table C.6. The symbols ** and *** denote statistical significance at the 5% and 1% levels, respectively.

tion, for the average settlement amount of $20.6 million (table 1), based on the estimates of columns 3–4 the star law firms charge 6 percentage points higher fees ($= (0.062 - 0.043) \times \ln(20.6{+}1)$), an economically large difference relative to the average fees of 31% of the settlement amount. In dollar terms, that corresponds to about $1.2 million (for the median settlement of $3.1 million, the corresponding value is about $83,100).

Taken together, these results are consistent with the notion that the star plaintiff law firms have a superior performance and generate nontrivial value for their clients. However, a large part of the stars' performance (over 80%) is predicted by the insurance benchmark, suggesting that selection (i.e., the star is retained on a lawsuit where a less prestigious law firm could presumably obtain a similar settlement) plays a nonnegligible role. In addition, other things equal, the stars charge higher fees.[29]

4.2 ROBUSTNESS

We perform a number of robustness checks on the baseline test, summarized in table 4, where we estimate regressions with as dependent variables *LogSettlement* (columns 1–2) and *LogSettlement* − *LogCoverage* (columns 3–4). For brevity, only the coefficients on the star law firm indicators are reported, but all regressions include the full set of control variables and fixed effects used in table 2.

We consider alternative proxies for law firm status (panel A): $Star\ (fees)$, $Star\ (count)$, *Rank* (continuous law firm rank), $Star\ (Legal500)$, and the indicators equal to 1 when the star plaintiff law firm is the lead plaintiff's law firm and when it is not, all defined above in subsection 2.2. We re-estimate the baseline regression (equation (9)), replacing $Star$ by those alternative proxies. When looking at $Star\ (fees)$, $Star\ (count)$, *Rank*, $Star\ (Legal500)$, and the indicator for lead star plaintiff law firm, the results are similar to our baseline: star law firms (or a higher value of the continuous variable *Rank*) are associated with higher settlement amounts, but with more modest settlements net of the insurance benchmark. The coefficients on the indicator for nonlead star plaintiff law firm indicator are small and insignificantly different from zero, suggesting that most of the impact of star plaintiff law firms is driven by lawsuits where they act as the lead plaintiff law firm.[30] We also restrict the sample to shareholder lawsuits and shareholder class actions (panel B), finding similar results. Additionally, we find similar results when we combine stars with a matching sample of plaintiff law firms that conceivably could become stars, with a

[29] In addition, as we discuss in subsection 5.1, star plaintiff law firms are associated with a higher probability of reaching a settlement. The question whether the size of the fees is fair compensation for the star's services is, on the other hand, beyond the scope of this paper.

[30] We thank an anonymous referee for suggesting this test. One caveat is that lead plaintiffs are only flagged in the Audit Analytics and ISS data sets, covering 24.7% of the lawsuits in our data. This result should thus be interpreted with caution.

propensity score matching approach based on law firm and defendant characteristics.

The results are also robust to alternative treatments of the standard errors (panel C). We re-estimate our baseline with two-way clustered standard errors, clustering by defendant firm and court, and by defendant firm and resolution year, and find statistical significance comparable to table 2. [31] Moreover, to address a potential spurious correlation between settlements and the *Star* indicator, we run regressions in the spirit of Fama and MacBeth [1973], drawing inference from the average coefficients from year-by-year cross-sectional regressions corresponding to equation (9), and finding again similar results.[32]

We also include a large number of additional control variables as well as additional fixed effects to the baseline regression (panel D): (1) defendant firm financial characteristics (dividend payout ratio, ROA, interest coverage ratio, R&D-to-sales ratio, advertising-to-sales ratio, staff-to-sales ratio, and discretionary accruals ratio), (2) transparency and liquidity (analyst forecast dispersion, forecast errors, and coverage, bid–ask spread, Amihud [2002] illiquidity ratio, and idiosyncratic volatility), (3) the quality of corporate governance and ownership structure (the Bebchuk, Cohen, and Ferrell [2009] E-index, board size, log-CEO salary, bonus, and equity pay, institutional ownership level, equity stake controlled by the top 10 largest institutional shareholders, ownership of institutional block-holders, number of institutional investors, number of institutional block-holders, and institutional ownership Herfindahl–Hirschman index (HHI)), and (4) characteristics of the plaintiff law firm (log-web site size, log-number of lawyers and other key employees, and log-age). All additional control variables are defined in appendix tableB.1. We also augment these regressions including filing year and court fixed effects. In all cases, the estimates of the coefficients on the *Star* indicator remain close to those presented in table 2.

We split the sample into terciles based on the status of the defense law firm facing the plaintiff law firm (panel E); the high tercile defense law firms have won the highest number of cases (in terms of dismissed cases) over the past five years. We find that the coefficient on the *Star* indicator shrinks when the ranking of the defense law firms is high (column 3), sug-

[31] We include clusters for each individual federal court (e.g., United States District Court for the Southern District of New York) or state court (e.g., Pennsylvania Court of Common Pleas) where the lawsuits in our data are brought.

[32] Spurious correlation could be induced by past settlements, which define *Star*. As each cross-sectional regression is estimated on one year of data only, serial correlation in settlement amounts is not a concern. Due to the smaller number of observations per resolution year prior to 1992, we constrain the sample to the resolution years from 1992 onward in this test. Although serial cross-correlation between settlement amounts and the *Star* indicator is not a problem with the Fama-MacBeth approach, serial correlation in the *Star* indicator itself and the other right-hand side variables can still be an issue. To adjust for that, the standard errors apply the Newey–West correction, based on a five-year lag window.

gesting that the star plaintiff law firm's effect is eroded when the defendant corporation hires a star defendant law firm.[33]

4.3 ADDITIONAL EVIDENCE SUPPORTING SELECTION

Two additional pieces of evidence support the notion that part of the performance of the star plaintiff law firms can be attributed to a selection mechanism.[34] In the first test, we estimate a Heckman [1978] two-stage model that explicitly controls for potential selection. In the first stage, we estimate a probit regression where the dependent variable is the $Star$ indicator, and from it obtain the inverse Mills ratio; in the second stage, we re-estimate equation (9) controlling for the inverse Mills ratio.

Identification of the Heckman [1978] model requires a first-stage instrument, that is, a variable that drives the probability that a star plaintiff law firm is retained in a lawsuit but does not have a separate effect on the expected settlement amount. We build such an instrument based on lawsuits against law firms that are peers to the plaintiff law firms in the lawsuits in our data. To illustrate the instrument, suppose that plaintiff law firm i (involved in lawsuit l) is located in two states, California and Texas. We consider all lawsuits against law firms located in California and in Texas, excluding focal law firm i itself, taking place during the year prior to lawsuit l; suppose N_{CA} law firms other than i receive a lawsuit in California and N_{TX} receive a lawsuit in Texas. Our instrument in this case equals $\ln(1+\frac{N_{CA}+N_{TX}}{2})$, that is, the log-average number of law firms other than i that receive a lawsuit on average in the states where i operates plus 1. We refer to this instrument as $Peer\ lawsuit$.

The economic mechanism behind $Peer\ lawsuit$ is based on reputation. If many law firms receive a lawsuit, the possibility that a law firm "misbehaves" and destroys value for its clients is more salient in the eyes of the plaintiffs, who are thus more likely to retain a more established and reputable law firm—such as a star, which also did not receive a lawsuit and thus is plausibly trustworthy. Column 1 of table 5, panel A, reports the first-stage estimates. Consistent with our argument, the coefficient on $Peer\ lawsuit$ is positive and highly statistically significant, confirming its relevance. The exclusion restriction, moreover, is arguably satisfied as the lawsuits to peer law firms are unlikely to directly affect the outcomes of the lawsuits involving the focal law firm's clients. Based on these estimates, we compute the inverse Mills ratio as $\frac{\phi(x'\hat{\beta})}{\Phi(x'\hat{\beta})}$ for the observations where the $Star$ plaintiff law firm indicator equals 1 and $\frac{\phi(x'\hat{\beta})}{1-\Phi(x'\hat{\beta})}$ for the observations where the $Star$

[33] Additional robustness checks are reported in appendix table C.6. In further tests, reported in appendix table C.3, we relate the stock returns around the filing and resolution of the lawsuits to the $Star$ indicator. We find that star plaintiff law firms are associated with more negative returns upon the filing of the lawsuit. They are also associated with more positive returns (over a narrow event window) around the resolution of the lawsuit when the lawsuit is dismissed.

[34] We thank Professor Valeri Nikolaev for suggesting these checks to us.

TABLE 5
Further checks on selection

Panel A: Heckman [1978] *two-stage approach*

	First Stage (1)	*LogSettlement* (2)	*LogSettlement* − *LogCoverage* (3)
Peerlawsuits	0.735***		
	(9.71)		
Star		0.383***	0.067***
		(9.33)	(6.18)
Size	−0.042	−0.011	0.007**
	(−0.39)	(−1.31)	(2.59)
Sales growth	0.120	0.088**	0.011
	(1.31)	(2.50)	(1.42)
Leverage	0.279	0.159*	0.010
	(0.44)	(1.79)	(0.38)
Book-to-market	−0.185	−0.051	−0.025**
	(−1.17)	(−1.18)	(−1.98)
Return	−1.443	−0.211	0.223
	(−1.16)	(−0.43)	(1.33)
Return volatility	−0.134*	−0.048**	−0.010
	(−1.94)	(−1.99)	(−1.21)
Return skewness	1.228	0.878***	0.163*
	(1.44)	(2.85)	(1.70)
Share turnover	−0.054	−0.332***	0.006
	(−0.19)	(−3.28)	(0.19)
Lawsuitsagainstfocalfirm	0.593	0.159	0.004
	(1.18)	(0.61)	(0.12)
InverseMillsratio		0.124***	0.034***
		(3.03)	(2.63)
Resolution year f.e.	Y	Y	Y
Practice area f.e.	Y	Y	Y
Defendant company f.e.	Y	Y	Y
R^2		0.110	0.038
N	4640	4640	4640

Panel B: Oster [2019] *adjustment*

I. Dependent variable: log-settlement

Controls:	(1) Baseline	(2) + Defendant char.	(3) + Trans-parency	(4) + Governance + Inst. own.	(5) + Plaintiff law firm char.
Coefficient estimate	0.390	0.416	0.420	0.407	0.365
$R^2_{\max}/R^2_{long}$					
1.1	12.682	12.706	15.570	12.940	9.122
1.3	5.586	5.514	6.679	5.348	3.642
1.5	3.582	3.521	4.251	3.370	2.275

(*Continued*)

TABLE 5—*(Continued)*

II. Dependent variable: log-settlement – log-Insurance coverage

Controls:	Baseline	+ Defendant char.	+ Trans-parency	+ Governance + Inst. own.	+ Plaintiff law firm char.
Coefficient estimate	0.069	0.074	0.080	0.074	0.052
$R^2_{\max}/R^2_{long}$					
1.1	16.303	14.933	20.564	17.131	10.053
1.3	6.331	5.735	8.017	6.476	3.671
1.5	3.928	3.549	4.979	3.993	2.246

In panel A, the table reports the estimates of a Heckman [1978] two-stage version of the baseline tests of table 2. The first-stage probit regression (column 1), where the dependent variable is the $Star$ indicator, includes the "peer lawsuits" instrument. In the second stage, *LogSettlement* (column 2) or *LogSettlement* − *LogCoverage* (column 3) are regressed on the $Star$ indicator, the control variables, and the inverse Mills ratio derived from the first-stage estimates. In all regressions the *t*-statistics, reported in parentheses, are based on standard errors clustered around defendant corporations. In panel B, the table reports the estimates of the Oster [2019] δ parameter for different sets of control variables included in the regressions with *LogSettlement* or *LogSettlement* − *LogCoverage* as the dependent variable, including several sets of control variables included in the regressions reported in table 4: baseline (column 1), plus defendant corporation characteristics (2), plus measures of transparency (3), plus measures of corporate governance quality and institutional ownership (4), plus plaintiff law firm characteristics (5). In each panel, the row labeled "Coefficient estimate" reports the estimate of the coefficient on the $Star$ indicator; the column labeled $R^2_{\max}/R^2_{long}$ reports the ratio between the assumed value of the $R^2_{\max}$ parameter and R^2_{long}, the R^2 associated with the inclusion of all control variables in each column. The other table entries report the estimate of the δ parameter associated with each combination of control variables and $R^2_{\max}/R^2_{long}$ value, representing the importance of selection on unobservables relative to selection on observables required to fully explain the coefficient on the $Star$ indicator. The symbols *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

plaintiff law firm indicator equals 0, where $\hat{\beta}$ denotes the vector of coefficient estimates from the probit first stage, x is the vector of covariates in the probit first stage, and $\phi(\cdot)$ and $\Phi(\cdot)$ are the standard normal pdf and cdf, respectively.

Columns 2 and 3 of table 5, panel A, report the estimates of equation (9) including the inverse Mills ratio among the explanatory variables. The sign of the coefficient on the inverse Mills ratio in the regression in column 2, where the dependent variable is *LogSettlement*, is positive, in line with the view that the unobserved factors driving the selection of a star plaintiff law firm are associated with higher expected settlement. At the same time, the sign and magnitude of the coefficient on the $Star$ plaintiff law firm indicator are very similar to the baseline estimate of table 2, suggesting that this aspect of selection is not severely biasing the coefficient estimate. In the regression where the dependent variable is *LogSettlement* − *LogCoverage* (column 3), the coefficient on the inverse Mills ratio is also positive and statistically significant (although smaller), with a similar interpretation. At the same time, the coefficient on the $Star$ plaintiff law firm indicator is positive, statistically significant, and similar in magnitude to the baseline estimate of table 2. This further reassures us that the insurance benchmark captures an economically meaningful part of the selection component.[35]

In the second test, we employ the Altonji, Elder, and Taber [2005, 2008] framework, which attempts to gauge the impact of selection on unobservables by studying how the coefficient estimates change when observable controls are added to the regression. Intuitively, if the coefficient estimates do not change substantially, selection on unobservables is less of a concern. Oster [2019] operationalizes this framework and proposes a formula for the approximate selection-adjusted coefficient estimate and a statistic δ, corresponding to the importance of unobservables relative to observables in explaining the outcome variable. We use the Oster [2019] formula to determine the value of δ that would fully explain the effect of star plaintiff law firms in the *LogSettlement* and *LogSettlement* − *LogCoverage* equations.

The results are reported in table 5, panel B, for versions of equation (9) that include sets of control variables corresponding to the ones included in the robustness checks of table 4, panel D. For both the *LogSettlement* and the *LogSettlement* − *LogCoverage* regressions, the Oster [2019] δ is consistently above 1, indicating that selection on unobservables would need to be at least as strong as selection on observables to fully explain the observed effect of having a star plaintiff law firm.

Taken together, the tests presented in this section corroborate the possible presence of a nontrivial selection effect in litigation settlement amounts, and that our approach of adjusting settlements for the insurance coverage benchmark can help address selection.

4.4 NONMONETARY EFFECTS

A possible alternative explanation for our finding of a modest outperformance of the star law firms relative to other law firms once we adjust for the insurance coverage benchmark is that nonmonetary effects may be associated with star plaintiff law firms.[36] The payoff that the plaintiffs seek may not be exclusively monetary; rather, they may derive a benefit from changes in management and/or governance practices of the defendant corporation. The defendant might thus be able to avoid having to pay a

[35] To control for lawsuits against the plaintiff law firm associated with a given lawsuit, in the first stage as well as in the second stage regressions we include as a separate control variable the natural logarithm of 1 plus the number of lawsuits received by the plaintiff law firm(s) associated with the lawsuit, *Lawsuits against the focal law firm*.

[36] Other potential alternative explanations are measurement error (related to the fact that when a lawsuit is dismissed the amount of insurance paid out is zero), the possibility that the insurance coverage incorporates part of the effect of the star law firms, the possibility that companies with lower cash holdings may purchase more insurance, and the possibility that when a defendant corporation faces multiple lawsuits in a sequence, they reduce the overall available insurance coverage so that the plaintiff law firms' performance is artificially inflated. For brevity, we relegate the discussion of these alternative explanations to appendix D. Several tests, reported in appendix table C.4, indicate however that these mechanisms do not appear to have a significant impact on our findings.

large settlement on condition of implementing changes to its governance structure.[37] The beneficial impact of star law firms may thus manifest itself, rather than in higher settlement amounts, in changes in governance at the defendant corporation. We examine percentage changes, between the year prior to the filing of the lawsuit and the year of its resolution, in the Gompers, Ishii, and Metrick (2003) and Bebchuk, Cohen, and Ferrell [2009] governance indexes as well as in several variables related to board composition and CEO compensation; and we also look at whether the CEO changes around the lawsuit.[38] To account for the fact that different lawsuits have different durations, whenever we look at percentage changes we express them in annual terms, dividing by the number of years between the filing and the resolution date.

The results are reported in table 6. In panel A, we show that most of these variables change significantly between the year-end prior to filing date and the end of the settlement/dismissal year for the *average* lawsuit: there is evidence of board restructuring, CEO changes, and changes in CEO compensation contract restructuring (with more emphasis on the salary component and less on variable pay in the form of bonus and equity-based remuneration). These results do not unambiguously indicate governance improvements—in fact, the increases in the Gompers, Ishii, and Metrick (2003) and Bebchuk, Cohen, and Ferrell [2009] indexes suggest a worsening governance.

To test if any governance changes are *more* likely when the plaintiff law firm is a star, in panels B (for all lawsuits) and C (for shareholder lawsuits) we estimate:

$$\Delta G_{if} = \alpha + \beta Star_f + \gamma' x_{if} + \varepsilon_{if}. \tag{10}$$

The dependent variable ΔG denotes the annualized percentage change in a given corporate governance quality proxy over the period from the end of the year before lawsuit i is filed to the end of the year when it is settled (or dismissed). x is the vector of control variables used throughout; as in the previous tests, the regressions also include fixed effects for lawsuit resolution year, defendant corporation, and litigation practice area. Overall, we find little evidence that lawsuits with star plaintiff law firms are associated with governance improvements (or just changes) beyond the average lawsuit. Across the different specifications, the coefficient on $Star$ is small and mostly statistically indistinguishable from zero. This evidence provides little support for the notion that star plaintiff law firms generate, beyond

[37] Romano [1991] argues that this would be a "salutary Coasian outcome," where the defendant company, rather than the court, is able to regress the problems that give rise the lawsuits in the first place.

[38] The data required to build the Gompers, Ishii, and Metrick [2003] index are only available in the "legacy" version of the MSCI (formerly GMI) database; for that reason, the number of observations in the corresponding column of table 6 is smaller.

TABLE 6

Changes in Governance Around Corporate Lawsuits

	Governance Indexes		Board			CEO	Changes in CEO Compensation			
	G-Index (1)	E-Index (2)	Departures (3)	Additions (4)	ΔSize (5)	Change (Y/N) (6)	Salary (7)	Bonus (8)	Equity-Based (9)	Total (10)
Panel A: Average changes in governance-related variables										
All lawsuits	0.010***	0.059***	0.951***	1.252***	−0.327***	0.142***	0.132***	−0.191***	−0.189***	0.346***
	(6.51)	(24.75)	(60.96)	(73.87)	(−31.89)	(54.82)	(31.68)	(−37.70)	(−47.60)	(25.44)
Shareholder lawsuits	0.014***	0.031***	1.100***	1.336***	−0.268***	0.156***	0.133***	−0.217***	−0.248***	0.331***
	(3.01)	(4.07)	(33.26)	(38.95)	(−14.23)	(14.73)	(9.67)	(−9.69)	(−15.97)	(7.59)
Panel B: Regression estimates; all lawsuits										
Star	0.007	−0.007	−0.027	−0.033	−0.012	0.016*	−0.016	−0.032*	−0.038***	−0.045
	(1.06)	(−1.00)	(−0.39)	(−0.40)	(−0.24)	(1.70)	(−0.63)	(−1.95)	(−3.55)	(−0.61)
R^2	0.47	0.36	0.33	0.32	0.27	0.24	0.30	0.42	0.57	0.24
N	2288	9526	7265	7451	7262	16,072	11,401	10,510	11,340	11,505
Panel C: Regression estimates; shareholder lawsuits										
Star	0.010	−0.010	−0.055	−0.077	0.010	0.015	−0.008	−0.028	−0.030***	−0.019
	(1.27)	(−1.53)	(−0.74)	(−0.91)	(0.18)	(1.43)	(−0.38)	(−1.56)	(−2.76)	(−0.25)
R^2	0.57	0.34	0.45	0.45	0.37	0.41	0.30	0.55	0.67	0.26
N	1087	2980	3067	3175	3066	5846	4121	3626	4061	4149

The table checks for the possibility that star plaintiff law firms have an impact on the quality of corporate governance of the defendant corporation, beyond their impact on settlement amounts. Panel A computes average changes around all lawsuits and shareholder lawsuits in a number of dimensions of governance between the year-end prior to the filing date and the year-end of the lawsuit resolution year: The Gompers, Ishii, and Metrick (2003) G-index and the Bebchuk, Cohen, and Ferrell [2009] E-index, changes in board composition (departures, additions, change in size), CEO changes, and changes in CEO compensation (salary, bonus, equity-based, and total). Each cell reports the average (or average % change), with the corresponding *t*-statistic in parenthesis (based on standard errors clustered around defendant corporation). Panel B reports the estimates of specifications analogous to table 2, where the dependent variable is one of the changes in governance dimensions analyzed in panel A (all specifications include controls and resolution year, defendant corporation, and litigation practice area fixed effects). Panel C reports similar regressions, restricting the sample to shareholder lawsuits. In all specifications the *t*-statistics, reported in parentheses, are based on standard errors clustered around defendant corporation. The symbols * and *** denote statistical significance at the 10% and 1% levels, respectively.

their effect on dollar settlements, nonmonetary benefits for the clients in the form of improvements in classic corporate governance measures.[39]

5. *Stars and Lawsuit Outcome Uncertainty; Star Visibility and Plaintiff Sophistication*

The results examined thus far show that a sizeable component of the settlements associated with star plaintiff law firms is predicted by the insurance coverage that the defendant purchases the year prior to the filing of the lawsuit (and prior to knowing what plaintiff law firm it will face), consistent with a selection effect. We now present two additional tests. The first one gauges to what extent the stars may create value for their clients by reducing the chances of a dismissal of the lawsuit; the second one if the stars' market share may be sustained by visibility and information asymmetry vis-à-vis less sophisticated plaintiffs.

5.1 IMPACT OF THE STARS ON UNCERTAINTY ABOUT THE LAWSUIT OUTCOME

Reduced litigation uncertainty for the plaintiffs may justify the market share and higher fees associated with the stars. In table 7, columns 1–2, we find that star plaintiff law firms reach a settlement about 7%–12% more frequently than other law firms. This estimate too can be a combination of a treatment effect (i.e., the star increases the chances of a settlement) and a selection effect. In particular, the selection could be positive, if the star tends to be retained in lawsuits that have a high probability of reaching a settlement regardless of what law firm brings them, but also negative, for instance if plaintiffs tend to hire star law firms on more challenging lawsuits that have ex ante lower chances of success. In the latter case, the estimates from table 7 may understate the value created by the stars.

To address this possibility, we relate the $Star$ law firm indicator to the price of litigation insurance, which is set prior to the filing of a lawsuit and,

[39] We find a negative and significant coefficient when looking at the change in equity-based compensation (the ratio of restricted stocks and options awards to total compensation), in the overall sample as well as in shareholder lawsuits. Given that the $Star$ indicator does not exhibit a systematic correlation with other aspects of governance, this result should be interpreted with caution. In appendix table C.5, we repeat the tests of table 6 separating settled and dismissed lawsuits, as well as controlling for lead plaintiff type. The results are mostly qualitatively similar to table 6; however, we find a decrease in CEO salary and increase in CEO equity pay around the average settled lawsuit, and the opposite pattern around dismissed lawsuits. When we separate settled and dismissed lawsuits, we do not detect a significant relationship between any of the governance quality proxies and the $Star$ indicator. In further tests, omitted for brevity, we also consider a range of indexes of corporate social responsibility from the MSCI (formerly KLD) database, related to employee relations, diversity, community, human rights, and environmental performance. We find no evidence of any association between those indexes and $Star$, suggesting that even broadening the scope of governance changes is unlikely to reveal a material effect of stars along this dimension.

TABLE 7
Probability to Reach a Settlement; Insurance Premium

	Probability of Settlement		Insurance Premium-…			
			…-to-Total Assets		…-to-Coverage	
	(1)	(2)	(3)	(4)	(5)	(6)
Star	0.068***	0.124***	0.082	0.008	0.075	0.051
	(10.55)	(8.90)	(1.63)	(0.84)	(0.16)	(0.26)
Controls	Y	Y		Y		Y
Resolution year f.e.	Y	Y	Y	Y	Y	Y
Defendant corp. f.e.		Y		Y		Y
Practice area f.e.	Y	Y		Y		Y
R^2	—	0.42	0.09	0.93	0.29	0.98
N	12,005	12,027	830	758	219	219

In columns 1 and 2, the table reports the estimates of a probit model (column 1) and a linear probability model (column 2) where the dependent variable is an indicator equal to 1 if a given lawsuit is settled and 0 if it is dismissed, regressed on the $Star$ indicator, the full set of control variables used throughout, and fixed effects (in column 1, the marginal effect of the $Star$ indicator is reported). In columns 3–6, the table reports the estimates of regressions where the dependent variable is the ratio of the insurance premium paid by the defendant corporation the year prior to the filing of the lawsuit, divided by total assets (columns 3–4) or by the amount of insurance coverage (columns 5–6). In columns 3–4, data on insurance premiums are obtained combining a proprietary data set from a leading insurance company with the disclosures made by firms incorporated in the state of New York, mandated by New York Business Corporation Law, Section 726(d). These regressions include an indicator equal to 1 for defendants incorporated in the state of New York. In columns 5–6, the sample is restricted to the lawsuits matching the proprietary data set. The symbol *** denotes statistical significance at the 1% level.

based on the institutional arguments of subsection 2.1 and the evidence summarized in appendix figure C.2, reflects the likelihood of a successful lawsuit. If the stars are retained on lawsuits that have ex ante lower chances of success, defendant corporations facing a star should be paying a lower insurance premium ex ante.

Corporate litigation insurance prices are much more rarely disclosed than coverage. We obtain information on prices for a sample of D&O insurance contracts that combines a proprietary database from a leading D&O insurer over the period 2006–2016 and from the D&O insurance premiums disclosed by companies incorporated in the state of New York, as mandated by New York Business Corporation Law, Section 726(d) (Donelson, Hopkins, and Yust [2018]), retrieved from the 10-K and DEF-14A annual filings as described in section 3. For each defendant corporation in the intersection between our sample of lawsuits and these data, we compute the ratio between D&O insurance premium payments and the corporation's total assets, the year prior to the filing of the lawsuit; we regress this ratio on the $Star$ indicator. For the subset of observations deriving from the proprietary database, we can also observe the ex ante insurance coverage; we thus compute the ratio between the insurance premium payment and the coverage. The results, reported in table 7, columns 3–6, show a statistically insignificant and *positive* coefficient on the $Star$ indicator. This is inconsistent with the notion that star plaintiff law firms are retained on ex ante more

TABLE 8

Plaintiff Law Firm Characteristics and Star Status

	Stars (1)	N (2)	Non-Stars (3)	N (4)	Difference (5)	*t*-Statistics (6)
Availablewebsite (0/1)	0.635	285	0.521	21,528	0.115	1.94
Log-Websitesize	4.539	181	3.633	11,206	0.906	3.68
Log-#Keyemployees	3.830	178	3.191	10,688	0.639	2.38
Log-Age (years)	3.033	240	2.542	14,163	0.491	2.34
Log-#States	0.256	240	0.203	13,326	0.054	0.62

The compares the characteristics of star plaintiff law firms and other plaintiff law firms: an indicator equal to 1 if information about the firm's web site can be retrieved from the Bureau van Dijk (BvD) database, log-web site size (in Kb), log-law firm age (in years), log-number of lawyers and other key employees, and the log-number of states where the law firm has a presence. All variables have been retrieved by scraping the web sites of the law firms dynamically, year by year, from the Internet Archive/Wayback Machine. The unit of observation is one plaintiff law firm in a given settlement year; if a plaintiff law firm is a star in any lawsuit type in a given year, it is grouped among the star plaintiff law firms for that year. Columns 1 and 2 report the average value and number of observations of each variable for the star plaintiff law firms, columns 3 and 4 for the non-stars, and columns 5 and 6 the difference and the associated *t*-statistics (based on standard errors clustered around individual law firms) for the difference.

challenging lawsuits, suggesting that the 12% effect from table 7 is an upper bound on the stars' impact on the likelihood of reaching a settlement.

5.2 VISIBILITY AND PLAINTIFF SOPHISTICATION

Another force that can sustain the market share of star plaintiff law firms is their visibility and information asymmetry vis-à-vis unsophisticated clients. We discuss two pieces of evidence that are consistent with this view. First, we compare star plaintiff law firms in our data to non-stars, based on the law firm characteristics described in section 3. Table 8 reports the comparison. Star plaintiff law firms have a larger online presence: they are more likely to have their web page reported in standard data sets such as BvD (64% vs. 52% for the non-star, *t*-statistics: 1.94) and they have larger web pages (93 Kb vs. 37 Kb, *t*-statistics: 3.68). They also employ a larger number of lawyers and key employees (45 vs. 22, *t*-statistics: 2.38). Finally, they are on average older than other plaintiff law firms (20 years vs. 12 years, *t*-statistics: 2.34). Together, these characteristics point to systematic differences between star and non-star plaintiff law firms that may be the source of the star's market power. Specifically, having a bigger online presence, a larger personnel, and a longer history, can endow star plaintiff law firms with greater visibility, which can help them attract clients and be a contributing factor to their market power.

Second, the star's more modest performance net of the insurance coverage benchmark may be related to information asymmetry limiting the clients' ability to screen and monitor the law firms they hire, which will be exacerbated when the plaintiffs are less sophisticated. Indeed, anecdotal evidence indicates that often (especially for the larger suits) the initiative

TABLE 9
Role of Lead Plaintiffs

	(1)	(2)
Star	0.055***	0.050***
	(4.05)	(3.16)
Lead plaintiff…		
Mutual fund company	0.110**	0.202**
	(2.11)	(2.34)
Worker-related institutional plaintiff	0.012	−0.014
	(0.56)	(−0.58)
Authority	0.079***	0.018
	(3.40)	(0.84)
Activist	0.179**	0.113
	(2.26)	(1.25)
Listed company	−0.146***	−0.108
	(−2.72)	(−1.58)
Private company	−0.027**	−0.012
	(−2.34)	(−1.29)
Other lead plaintiff	−0.019**	−0.009
	(−2.19)	(−1.02)
Star × …		
Mutual fund company		−0.150
		(−1.37)
Worker-related institutional plaintiff		0.039
		(1.09)
Authority		0.146**
		(2.58)
Activist		0.105
		(0.83)
Listed company		−0.103
		(−1.35)
Private company		−0.154**
		(−2.55)
Other lead plaintiff		−0.028
		(−1.34)
Controls	Y	Y
Resolution year, defendant, practice area f.e.	Y	Y
R^2	0.199	0.203
N	10,559	10,559

The table reports the estimates of regressions analogous to the baseline of table 2, column 3. The dependent variable is $logSettlement - logCoverage$; the main explanatory variables are the $Star$ plaintiff law firm indicator, as well as indicators equal to 1 if the lead plaintiff is a mutual fund company, a worker-related institution, an authority (DOJ or the SEC), an activist investor, a listed company, a private company, or another lead plaintiff type. Column 2 also includes interactions between the lead plaintiff type indicators and the $Star$ plaintiff law firm indicator. The t-statistics, reported in parentheses, are based on standard errors clustered around defendant corporations. The symbols ** and *** denote statistical significance at the 5% and 1% levels, respectively.

behind a lawsuit rests with the plaintiff law firm, which pursues prospective clients with aggressive marketing strategies.[40]

[40] For instance, law firms may issue press releases encouraging potential plaintiffs to join a class action lawsuit. On June 11, 2021, law firm Bronstein, Gewirtz & Grossman, LLC notified

To address this possibility, we manually screen plaintiff names in our sample lawsuits and identify plaintiffs that are more likely sophisticated. We focus on mutual fund companies (e.g., Fidelity Investments, Blackrock), worker-related institutions (e.g., pension funds such as the New York City Police Pension Fund, or unions such as the International Brotherhood of Electrical Workers), activist investors,[41] authorities (DOJ or SEC), listed companies, and private companies. Together, these categories account for the plaintiffs in 52.3% of the lawsuits in our data; in other cases, the plaintiff is either an individual or cannot be identified. In a second step, we restrict the attention to the lead plaintiffs.[42] We then estimate a version of equation (9), controlling for plaintiff type, as well as including interactions between the *Star* plaintiff law firm indicator and plaintiff type indicators. These regressions gauge if the lead plaintiff's type mediates the effect of star plaintiff law firms. Table C.1-C.7

The results are reported in table 9. The coefficient on the *Star* indicator remains positive and close in magnitude to the baseline of table 2. The analysis of the plaintiff types, moreover, highlights the heterogeneity in the performance of star plaintiff law firms across different types of plaintiffs. Mutual fund companies are associated with a superior performance (relative to the insurance coverage benchmark) regardless of the presence of a star plaintiff law firm; this is in line with recent evidence by Choi, Erickson, and Pritchard [2023], who also find that such plaintiffs are associated with larger settlements. Furthermore, authorities achieve a superior performance when a star plaintiff law firm is retained on the lawsuit (the interaction coefficient between the authority indicator and the *Star* indicator is positive and significant); this is consistent with the view that they can have a better ability to select law firms to bring their lawsuits.

"investors that a class action lawsuit has been filed against ContextLogic, Inc. and certain of its officers, on behalf of shareholders who purchased or otherwise acquired ContextLogic securities between December 16, 2020 and May 12, 2021," inviting them to join the lawsuit as plaintiffs.

[41] To identify activist investors, we consider all plaintiffs in our data who have ever made a Schedule 13D filing associated with the defendant corporation in the two-year period prior to their lawsuit, and we flag them as "activists" (e.g., Cheng, Huang, Li, and Stanfield [2012]). We then flag any lawsuit as having an "activist lead plaintiff" if the lead plaintiff belongs to the set of activists identified in the previous step.

[42] Lead plaintiffs are only flagged in the Audit Analytics and ISS databases as the DOJ or the SEC are likely to have an active involvement in the lawsuit, we always consider them as the lead plaintiffs whenever they appear as plaintiffs. For the mutual fund companies, worker-related institutional plaintiffs, and activists, we require them to be explicitly labeled as "lead" plaintiffs in the data sets. Appendix table C.7 summarizes the incidence of plaintiffs of each type in our data. Mutual fund companies act as plaintiffs in about 9% of the lawsuits, and worker-related institutions in about 13%; activist investors are plaintiffs in 7%; the DOJ or the SEC in nearly 4% of the lawsuits; listed companies in about 9%; and private companies in about 28%. Lead plaintiffs are only flagged in the Audit Analytics and ISS databases, covering 24.72% of the lawsuits in table 2 of the paper. Among the cases where the lead plaintiff is flagged, mutual fund companies account for about 13%, worker-related institutions for about 19%, the DOJ or SEC for 3.5%, activists for 8%, listed companies for 6%, and private companies for 13%.

At the same time, private companies are likely less sophisticated, and indeed stars exhibit a worse performance when representing them. Activists, worker-related institutions, and publicly listed companies are in between these polar cases, with insignificant coefficients on the interaction terms. This pattern underscores the interplay between plaintiff sophistication, case characteristics, and the added value—or lack thereof—of star plaintiff law firms, suggesting that information asymmetry vis-à-vis less sophisticated plaintiffs may at least partly drive stars' market share.[43]

6. *Conclusion*

We study the performance of dominant plaintiff law firms (stars) in corporate litigation, on a novel, comprehensive sample of corporate lawsuits in the United States over the period 1970–2020. Star plaintiff law firms are on average associated with 48% larger settlement amounts than other law firms. A sizeable part of that difference, however, is predicted by the litigation insurance coverage that defendant corporations purchase prior to the filing of the lawsuit (and prior to knowing what plaintiff law firm, if any, they will face). This is consistent with a selection effect, that is, an economic mechanism that matches star plaintiff law firms to lawsuits where a less prestigious law firm might be able to obtain a similar outcome. A number of checks confirm the robustness of this result, and further analysis based on a Heckman [1978] two-stage model and the Oster [2019] adjustment corroborate the presence of a selection effect. We also find that stars are more likely to reach a settlement compared to other law firms. Star plaintiff law firms have larger personnel and online presence, and are older than other law firms, suggesting that they are more visible to prospective clients. Moreover, they exhibit a worse performance when retained by private corporations, consistent with the view that information asymmetry vis-à-vis less sophisticated plaintiffs may be a factor sustaining their market share. Our results contribute to our understanding of the effectiveness of litigation as a tool to discipline corporations, and of the governance of corporate litigation.

[43] Note that the plaintiff type indicators are not mutually exclusive, as multiple plaintiffs (and plaintiff types) can be associated with the same lawsuit. This allows us to include all indicators, including the "other lead plaintiff" category, in the regressions of table 9. Because the presence of a star plaintiff law firm and of a given lead plaintiff type are potentially jointly determined in equilibrium, it is difficult to draw a causal interpretation of these estimates. We are thus careful to avoid using causal language when describing them. We view these estimates, nevertheless, as potentially informative for studies aiming to focus on the role of the lead plaintiffs.

APPENDIX A: EMPIRICAL STUDIES ON CORPORATE LITIGATION SINCE 1980

TABLE A.1
Empirical Studies on Corporate Litigation Since 1980

Paper	Litigation Practice Area	Nr. Lawsuits	Sample Period	Court
Jones [1980a]	[1A] + [1B]	228	1971–1978	Federal
Jones [1980b]	[1A] + [1B]	531	1971–1978	Federal
St. Pierre and Anderson [1984]	[1C] + [9]	129	1960–1979	Federal
Palmrose [1987]	[1C] + [9]	450	1960–1985	Federal
Palmrose [1988]	[1C] + [9]	472	1960–1985	Federal
Palmrose [1991]	[1C] + [9]	800	1960–1990	Federal
Stice [1991]	[1C] + [9]	78	1960–1985	Federal
Lys and Watts [1994]	[1C] + [9]	163	1955–1994	Federal
Carcello and Palmrose [1994]	[1C] + [9]	159	1972–1992	Federal
Francis, Philbrick, and Schipper [1994]	[1A]	47	1988–1992	Federal
Bizjak and Coles [1995]	[4]	396	1973–1983	Federal
Skinner [1997]	[1A]	221	1988–1994	Federal
Lanjouw and Lerner [2001]	[2]	252	1990–1991	Federal
Lanjouw and Schankerman [2001]	[2]	5452	1975–1991	Federal
Chalmers, Dann, and Harford [2002]	[1A]	9	1992–1996	Federal
Lowry and Shu [2002]	[1A]	106	1990–1997	Federal
Ferris, Jagannathan, and Pritchard [2003]	[1A]	133	1996–1998	Federal
DuCharme, Malatesta, and Sefcik [2004]	[1A]	314	1988–2001	Federal
Thompson and Thomas [2004]	[1B]	57	1999–2000	Federal
Field, Lowry, and Shu [2005]	[1A]	78	1996–2000	Federal
Haslem [2005]	[8]	965	1994–1998	Federal
Helland [2006]	[1A] + [3]	2207	1994–2002	Federal
Bhattacharya, Galpin, and Haslem [2007]	[2] + [4] + [5] + [6] + [7]	3076	1995–2000	Federal
Ferris et al. [2007]	[1B]	215	1982–1994	Federal
Fich and Shivdasani [2007]	[1A]	216	1998–2002	Federal
Karpoff, Lee, and Martin [2008]	[3]	788	1978–2006	Federal
Peng and Roell [2008]	[1A]	479	1996–2002	Federal
Gande and Lewis [2009]	[1A]	377	1996–2003	Federal
Johnson, Ryan, and Tian [2009]	[3]	87	1992–2005	Federal

(*Continued*)

TABLE A.1—*(Continued)*

Paper	Litigation Practice Area	Nr. Lawsuits	Sample Period	Court
Murphy, Shrieves, and Tibbs [2009]	[2] + [4] + [5] + [6] + [7]	452	1982–1996	Federal
Rogers and Van Buskirk [2009]	[1A]	827	1996–2005	Federal
Cheng et al. [2010]	[1A]	1811	1996–2005	Federal
Daines, Gow, and Larcker [2010]	[1A]	338	2005–2009	Federal
Dyck, Morse, and Zingales [2010]	[1A]	501	1996–2004	Federal
Erickson [2010]	[1B]	182	2005–2006	Federal
Galasso and Schankerman [2010]	[2]	5131	1975–2000	Federal
Karpoff and Lou [2010]	[3]	632	1988–2005	Federal
Searle [2010]	[2]	95	1996–2008	Federal
Wang, Winton, and Yu [2010]	[1A] + [3]	110	1996–2007	Federal
Kedia and Rajgopal [2011]	[3]	132	1997–2002	Federal
Rogers, Van Buskirk, and Zechman [2011]	[1A]	165	2003–2008	Federal
Yu and Yu [2011]	[1A]	205	1998–2004	Federal
Atanasov, Ivanov, and Litvak [2012]	[1C]	44	1975–2007	Federal
Bollen and Pool [2012]	[3]	317	1997–2009	Federal
Donelson et al. [2012]	[1A]	423	1996–2005	Federal
Hanley and Hoberg [2012]	[1A]	165	1996–2005	Federal
Humphery-Jenner [2012]	[1A]	416	1996–2007	Federal
Kim and Skinner [2012]	[1A]	2497	1996–2009	Federal
Lennox, Lisowsky, and Pittman [2013]	[3]	797	1981–2001	Federal
Schmidt [2012]	[1A]	60	2001–2007	Federal
Kaplan and Williams [2013]	[1A]	1211	1986–2009	Federal
Wang [2013]	[1A] + [3]	688	1995–2002	Federal
Brochet and Srinivasan [2014]	[1A]	921	1996–2010	Federal
Correia [2014]	[3]	788	1978–2006	Federal
Cotropia, Kesan, and Schwartz (2014)	[2]	7705	2010–2012	Federal
Deng, Willis, and Xu [2014]	[1A]	156	1996–2006	Federal
Arena and Julio [2015]	[1A] + [8]	2794	1996–2006	Federal
Benmelech and Frydman [2015]	[1A]	132	1996–2004	Federal
Biggerstaff, Cicero, and Puckett [2015]	[1C]	1099	1978–2011	Federal
Billings and Cedergren [2015]	[1A]	478	2002–2012	Federal
Borisov, Goldman, and Gupta [2015]	[3]	62	2001–2005	Federal

(*Continued*)

TABLE A.1—*(Continued)*

Paper	Litigation Practice Area	Nr. Lawsuits	Sample Period	Court
deHaan et al. [2015]	[3]	284	1990–2008	Federal
Donelson, Hopkins, and Yust [2015]	[1A] + [3]	755	1998–2010	Federal
Galasso and Schankerman [2015]	[2]	1357	1975–2010	Federal
Hutton, Jiang, and Kumar [2015]	[9]	8544	1993–2008	Federal
Khanna, Kim and Lu [2015]	[3]	212	1996–2006	Federal
Cohen, Gurun, and Kominers [2016]	[2]	17,564	2005–2015	Federal
Giannetti and Wang [2016]	[3]	704	1980–2009	Federal
Jiang et al. [2016]	[8]	225	2000–2014	State
Liu [2016]	[1A] + [3]	2080	1988–2006	Federal
Tian, Udell, and Yu [2016]	[1A]	205	1995–2005	Federal
Fahlenbrach, Low, and Stulz [2017]	[1A]	492	1995–2010	Federal
Frankel, Lee, and Lemayian [2017]	[2]	339	2012–2016	Federal
Haslem, Hutton, and Smith [2017]	[9]	6091	1996–2010	Federal
Karpoff et al. [2017]	[1A] + [3]	7336	1982–2015	Federal
Banerjee et al. [2018]	[1A]	1375	1996–2012	Federal
Bliss, Partnoy and Furchtgot [2018]	[1A]	2210	2003–2010	Federal
Cain et al. [2018]	[8]	1345	2003–2017	Federal and state
Cline, Walkling, and Yore [2018]	[1A] + [3]	1876	1996–2012	Federal
Cohen and Gurun (2024)	[9]	14,412	1995–2013	Federal
Glaeser [2018]	[2]	134	1996–2013	Federal
Parsons, Sulaeman, and Titman [2018]	[3]	13,000	1970–2009	Federal
Adhikari, Agarwal and Malm [2019]	[9]	8341	2002–2011	Federal
Appel (2019)	[1B]	1695	1984–2000	Federal
Cohen, Gurun, and Kominers [2019]	[2]	17,564	2005–2015	Federal
Cutler, Davis, and Peterson [2019]	[1A]	732	1996–2011	Federal
Huang, Hui, and Li [2019]	[1A]	1973	1994–2014	Federal
Boone, Broughman, and Macias [2019]	[8]	125	2004–2010	State
Jetley and Huang [2020]	[8]	125	2004–2010	State
Jiang, Li, and Thomas [2020]	[8]	347	2000–2019	State
Lin, Liu, and Manso [2021]	[1A] + [1B]	4210	1994–2013	Federal
Liu [2020]	[9]	750	2000–2015	Federal

(*Continued*)

TABLE A.1—*(Continued)*

Paper	Litigation Practice Area	Nr. Lawsuits	Sample Period	Court
Billings, Cedergren, and Dube [2021]	[1A]	654	2001–2015	Federal
Carrizosa and Cazier [2022]	[1A]	1947	1996–2016	Federal
Donelson et al. [2022]	[1B]	2494	1996–2015	Federal
Heese, Krishnan and Ramasubramaniam [2021]	[3]	439	2002–2012	Federal
Barko, Renneboog, and Zhang [2023]	[1A]	3638	1996–2019	Federal
Choi, Erickson, and Pritchard [2023]	[1A]	2492	2005–2018	Federal
Stewart [2023]	[8]	82	2005–2016	State
Nguen, Raghunandan, and Scherf [2025]	[1A]	5192	2003–2016	Federal
Huang et al. [2025]	[1A]	1647	1996–2017	Federal
Jia [2025]	[3]	330	1995–2010	Federal

The table lists, in chronological order, empirical studies involving corporate litigation data in the accounting, economics, finance, and law literatures. For each study, it reports the litigation practice area, the number of lawsuits analyzed, the sample period, and the type of court where the lawsuits are filed. Litigation practice areas are classified as: [1A] = Securities class action, [1B] = Derivative action, [1C] = Other shareholder lawsuit, [2] = Intellectual property, [3] SEC and DOJ enforcement action, [4] = Antitrust, [5] = Industry focus, [6] = Employment, [7] = Product liability, [8] = M&A-related lawsuits, and [9] = Other/not specified. The number of lawsuits in Helland [2006] was retrieved via personal communication with the author; for Lin, Liu, and Manso [2021], it is based on the paper's online appendix; for Cohen, Gurun, and Kominers [2016, 2019], it is based on the Cohen, Gurun, and Kominers [2016] online appendix; for Correia [2014], it is based on the sample of Karpoff, Lee, and Martin [2008]; for Jia [2025], it is based on the percentage of restatements accompanied by subsequent SEC civil actions; Haslem, Hutton, and Smith [2017] run a number of tests on 83,260 lawsuits, but have complete information on the resolution of the lawsuit only for 6091 cases.

APPENDIX B: VARIABLE DESCRIPTIONS

TABLE B.1
Variable Descriptions

Variable Name	Description
Star	Indicator variable equal to 1 for top-10 plaintiff law firms. For each law firm and year $t-1$, the cumulative settlement amount generated by the firm in lawsuits in a given practice area over the previous 5 years (up to and including $t-1$) is computed. Law firms are ranked based on the cumulative settlement amount, and the top 10 are designated as "stars" for year t.

(*Continued*)

TABLE B.1—*(Continued)*

Variable Name	Description
Star (fees)	Indicator variable equal to 1 for top-10 plaintiff law firms, based on five-year cumulative fees. If on a given lawsuit the fees are not reported, they are imputed as 30% of the settlement amount (Baker and Griffith [2007], Spier [2007]).
Star (count)	Indicator variable equal to 1 for top-10 plaintiff law firms, based on the five-year cumulative number of lawsuits brought by the firm.
Rank (continuous law firm rank)	Law firm rank, based on the five-year cumulative settlement amount and normalized to be expressed as a number between 0 and 1.
Star (Legal500)	Indicator for top plaintiff law firms based on the Legal500 rankings. It is equal to 1 if a given law firm belongs to the set of "top tier" law firms designated by Legal500 in a given litigation practice area and year.
Star (lead, nonlead)	Indicator variable equal to 1 if the lead plaintiff's law firm is a star, and 0 otherwise (respectively, if the star is among the plaintiff law firms, but it is not the lead plaintiff's).
Case settled (Y/N)	Indicator variable equal to 1 if a lawsuit is settled, and 0 if it is dismissed.
Settlement	Settlement amount, expressed in millions of 2015 U.S. dollars.
Insurance coverage	Part of the settlement paid out by litigation insurance, expressed in millions of 2015 U.S. dollars.
Fees	Amount spent by the plaintiffs in prosecuting the case, for lawyers, law firms, legal representation, and other related expenses, expressed in millions of 2015 U.S. dollars.
Federal case	Indicator variable equal to 1 the lawsuit is brought before a federal court, and 0 otherwise.
Litigation practice areas	Antitrust; Employment; Government contracts and relations; Industry focus; Intellectual property and privacy; Product liability; Securities, shareholder, and derivative; and Other.
Size	Natural logarithm of total assets expressed in millions of 2015 U.S. dollars, as of the year prior to the lawsuit's filing date.
Sales growth	Yearly rate of growth of sales, as of the year prior to the lawsuit's filing date.
Leverage	Ratio of total liabilities to total assets, computed via the WRDS Financial Ratios Suite, based on Compustat data, as of the year prior to the lawsuit's filing date.
Book-to-market	Ratio of the book value of equity to market value, computed via the WRDS Financial Ratios Suite based on data from the CRSP/Compustat Merged Database, as of the year prior to the lawsuit's filing date.
Return	Cumulative 12-month stock return (computed in December prior to the lawsuit's filing date).

(*Continued*)

TABLE B.1—*(Continued)*

Variable Name	Description
Return volatility	Standard deviation of monthly stock returns (computed over a 12-month period ending in December prior to the lawsuit's filing date).
Return skewness	Skewness of monthly stock returns (computed over a 12-month period ending in December prior to the lawsuit's filing date).
Share turnover	Average monthly turnover (computed as the monthly trading volume divided by shares outstanding, computed in December prior to the lawsuit's filing date).
ROA	Return on assets, computed as the ratio of net income to lagged total assets via the WRDS Financial Ratios Suite, based on Compustat data.
Dividend payout ratio	Dividend payout ratio, computed as the ratio of dividends to lagged total assets via the WRDS Financial Ratios Suite, based on Compustat data.
Interest coverage ratio	Interest coverage ratio, computed as the ratio of EBIT to interest payments via the WRDS Financial Ratios Suite, based on Compustat data.
R&D/Sales	Ratio of R&D expenses to sales, computed via the WRDS Financial Ratios Suite, based on Compustat data.
Advertising/Sales	Ratio of advertising expenses to sales, computed via the WRDS Financial Ratios Suite, based on Compustat data.
Staff/Sales	Ratio of staff expenses to sales, computed via the WRDS Financial Ratios Suite, based on Compustat data.
Accruals ratio	Ratio of discretionary accruals to the average between lagged and contemporaneous total assets, computed via the WRDS Financial Ratios Suite, based on Compustat data.
Analyst forecast dispersion	Dispersion of analyst EPS forecasts, computed as the standard deviation of analyst EPS forecasts from the IBES database, divided by the absolute value of the mean EPS estimate.
Analyst forecast error	Absolute value of the difference between the mean analyst EPS forecast and the actual EPS, divided by the mean EPS estimate.
Analyst coverage	Natural logarithm of 1 plus the number of analysts following a given corporation.
Bid-ask spread	Ratio of the bid–ask spread to the midpoint close stock price from CRSP.
Amihud ratio	Yearly average Amihud [2002] illiquidity ratio. The Amihud ratio is defined as the ratio between the absolute daily change in the stock price, divided by the dollar trading volume expressed in millions of dollars.
Idiosyncratic volatility	1 minus the R^2 from the Fama–French three-factor model, estimated on daily data for each stock and year.
G-index	Gompers, Ishii, and Metrick (2003) governance index.
E-index	Bebchuk, Cohen, and Ferrell [2009] entrenchment index.

(*Continued*)

TABLE B.1—(Continued)

Variable Name	Description
Board size	Number of directors on the board, retrieved from BoardEx.
CEO salary	Salary of the CEO, retrieved from Compustat ExecuComp.
CEO bonus	Annual bonus of the CEO, retrieved from Compustat ExecuComp.
CEO equity pay	Annual equity-based compensation of the CEO, defined as the sum of the value of stock options and restricted stocks grants received in a given year.
CEO total compensation	Sum of CEO salary, CEO bonus, and CEO equity pay.
Institutional ownership	Percentage of the firm's stocks held by 13F institutional investors from the Thomson Reuters 13F data.
Top-10 institutional investor ownership	Percentage of the firm's stocks held by the top 10 13F institutional investors.
Institutional block holders	Percentage of the firm's stocks held by block-holders.
Number of institutional share holders	Number of 13F institutional investors holding any shares of the firm.
Number of institutional block holders	Number of 13F institutional block holders holding any shares of the firm.
Institutional ownership HHI	Herfindahl-index of institutional ownership concentration, based on 13F institutional investors holdings.
Available web site	Indicator variable equal to 1 if the plaintiff law firm's web site can be retrieved based on information from the Bureau van Dijk database.
Log-web site size	Natural logarithm of the size of the plaintiff law firm's web site (in Kb of raw text). Versions of the web site over different years are retrieved from the Wayback Machine/Internet Archive web page.
Log-#Key employees	Natural logarithm of the number of lawyers and other key employees of the plaintiff law firm that appear on the law firm's web site. Lawyers and other key employees are identified by applying named entity recognition (NER) on the law firm's web site; versions of the web sites over different years are retrieved from the Wayback Machine/Internet Archive web page. The NER implementation is described in greater detail in appendix E.
Log-Age	Natural logarithm of the age of the plaintiff law firms (in years). It is based on the law firm founding year in the Bureau van Dijk database, and augmented with the year of the earliest web site availability when the founding year is not available.
Log-#States	Natural logarithm of the number of U.S. states where the plaintiff law firm has a presence.
Peer lawsuits	For a given (focal) plaintiff law firm, it is defined as the natural logarithm of the number of lawsuits received in a given year by the average plaintiff law firm other than the focal law firm in the U.S. states where the focal law firm has a presence.

(*Continued*)

TABLE B.1—*(Continued)*

Variable Name	Description
Lawsuits against focal law firm	Natural logarithm of 1 plus the number of lawsuits received by the focal plaintiff law firm in a given year.
Lead plaintiff type indicators	Indicator variables equal to 1 if the lead plaintiff belongs to one of the following categories: (1) Mutual fund company, (2) Worker-related institutional plaintiff (e.g., pension fund or trade union), (3) Authority (SEC or DOJ), (4) Activist, (5) Listed company, (6) Private company, (vii) Other. To identify activist investors, we consider all plaintiffs in our data who have ever made a Schedule 13D filing associated with the defendant corporation in the two-year period prior to their lawsuit, and we flag them as "activists" (e.g., Cheng, Huang, Li, and Stanfield 2012). We then flag any lawsuit as having an "activist lead plaintiff" if the lead plaintiff belongs to the set of activists identified in the previous step. Lead plaintiffs are identified in the Audit Analytics and ISS databases.
Log-Description length	Natural logarithm of the number of words in the description of the lawsuit.
Flesch reading ease	Readability index defined as: $206.835 - 1.015 \times ASL - 84.6 \times ASW$, where ASL denotes average sentence length and ASW denotes average syllables per word.
Type-token ratio	An index of lexical diversity of the lawsuit description, computed by dividing the number of unique words (types) by the total number of words (tokens). A higher value indicates greater lexical diversity.

The following table reports the description of all the variables used in the analysis. The data on lawsuits and law firms combine information from the Audit Analytics Litigation (AA), ISS Securities Class Action Services (ISS), Federal Court Cases: Integrated Database (FCC), and the Stanford Securities Class Action Clearinghouse (SCAC). All accounting data come from Compustat and stock trading information from CRSP; those variables are expressed in their value as of the end of the fiscal year prior to the lawsuit filing date (the relevant Compustat and CRSP data items are listed in parentheses). All dollar values are expressed in 2015 constant dollars.

APPENDIX C: ADDITIONAL RESULTS

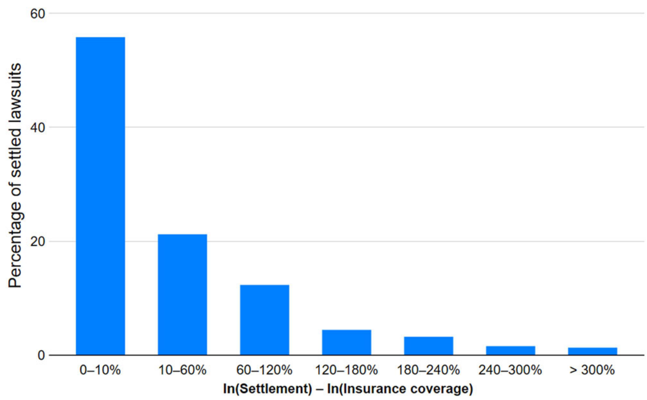

FIG. C.1.—Settlement and insurance coverage, settled lawsuits.
The figure plots on the horizontal axis categories for the difference between log-settlement amount and log-insurance coverage, and on the vertical axis the percentage of settled lawsuits corresponding to each category. It indicates that for nearly 60% of the lawsuits in our sample, the settlement amount does not exceed the insurance coverage by more than 10%.

TABLE C.1

Additional Evidence on Insurance Coverage

Panel A: Predictive power of insurance coverage

	(1)	(2)	(3)	(4)
LogCoverage		0.959***	1.018***	0.847***
		(44.46)	(52.16)	(17.60)
Size	0.149***	0.082***		−0.184
	(5.20)	(6.36)		(−1.00)
Sales growth	0.073	−0.007		0.038
	(1.10)	(−0.28)		(0.35)
Leverage	−0.432*	−0.180		−0.196
	(−1.68)	(−1.55)		(−0.22)
Book-to-market	−0.491***	−0.203***		−0.146
	(−4.02)	(−3.86)		(−0.68)
Return	−3.012***	−0.074		1.118
	(−3.51)	(−0.16)		(0.59)
Return skewness	−0.235***	−0.026		−0.196**
	(−3.46)	(−0.70)		(−2.12)
Return volatility	4.211***	0.891**		1.486
	(6.02)	(2.47)		(1.40)
Share turnover	−0.516**	0.115		0.105
	(−2.24)	(0.97)		(0.27)
Intercept	0.925***	−0.108	0.382***	
	(4.12)	(−1.01)	(9.23)	
Resolution year f.e.				Y
Defendant corp. f.e.				Y
Practice area f.e.				Y
R^2	0.11	0.77	0.76	0.93
N	1092	1092	1572	1092

Panel B: Insurance disclosure

	All Lawsuits			*Shareholder Lawsuits*
	(1)	(2)	(3)	(4)
LogSettlement	0.006***	0.006***	0.004*	0.021***
	(2.95)	(2.74)	(1.83)	(3.85)
I. Defendant corporation characteristics				
Size	0.022**	0.023***	0.022**	0.068***
	(2.55)	(2.68)	(2.55)	(3.45)
Sales growth	0.008	0.006	0.007	0.018
	(0.63)	(0.49)	(0.57)	(0.89)
Leverage	0.053	0.047	0.045	0.183
	(1.16)	(1.04)	(0.87)	(1.59)
Book-to-market	0.011	0.012	0.016	0.057**
	(1.01)	(1.08)	(1.49)	(2.45)
Return	0.298**	0.312**	0.279**	0.270
	(2.45)	(2.54)	(2.15)	(1.05)

(*Continued*)

TABLE C.1—*(Continued)*

Panel B: Insurance disclosure

	All Lawsuits			*Shareholder Lawsuits*
	(1)	(2)	(3)	(4)
Return volatility	−0.181**	−0.176**	−0.111	−0.352*
	(−1.99)	(−1.97)	(−1.28)	(−1.81)
Return skewness	−0.009*	−0.009*	−0.005	−0.007
	(−1.74)	(−1.70)	(−0.93)	(−0.66)
Turnover	0.071**	0.071**	0.060*	0.123*
	(2.20)	(2.20)	(1.82)	(1.67)
II. Plaintiff law firm characteristics				
Star		0.052***	0.047***	0.034**
		(4.12)	(3.51)	(1.99)
log-web site size	−0.003	−0.003	−0.003	0.006
	(−0.72)	(−0.68)	(−0.96)	(0.60)
log-Law firm age	−0.006**	−0.008***	−0.009***	−0.021***
	(−2.03)	(−2.92)	(−3.14)	(−3.37)
log-#Lawyers and other key employees	0.003	0.001	0.002	−0.005
	(0.83)	(0.25)	(0.62)	(−0.57)
Web site not available (0/1)	−0.027**	−0.037***	−0.036***	−0.061
	(−2.03)	(−2.80)	(−2.67)	(−1.57)
III. Lead plaintiffs				
Mutual fund company	0.028	0.024	0.028	0.028
	(1.35)	(1.17)	(0.93)	(0.92)
Worker-related institutional plaintiff	0.107***	0.093***	0.188***	0.185***
	(4.93)	(4.17)	(6.67)	(6.18)
Authority	−0.038***	−0.041***	−0.045***	−0.045**
	(−2.68)	(−2.88)	(−3.05)	(−2.17)
Activist	0.071**	0.080**	0.085*	0.086
	(1.93)	(2.21)	(1.68)	(1.36)
Listed company	−0.063**	−0.064**	−0.071*	−0.377**
	(−2.01)	(−2.05)	(−1.89)	(−2.45)
Private company	−0.026	−0.029	−0.035	−0.105
	(−1.03)	(−1.13)	(−1.25)	(−1.63)
Other lead plaintiff	−0.009	−0.011	0.018	0.037*
	(−0.79)	(−0.91)	(1.16)	(1.91)
IV. Lawsuit description text characteristics				
log-Description length			0.061***	0.137***
			(4.86)	(5.46)
Flesch reading ease			−0.001*	−0.001
			(−1.70)	(−1.37)
Type-token ratio			0.259***	0.666***
			(3.64)	(4.72)
Defendant corp. f.e.	Y	Y	Y	Y
Resolution year f.e.	Y	Y	Y	Y
Practice area f.e.	Y	Y	Y	
R^2	0.433	0.435	0.473	0.590
N	10,396	10,396	9243	4176

In panel A, the table reports the estimates of regressions where the dependent variable is *LogSettlement*, the log-settlement amount, regressed on a number of explanatory variables. In column 1, the explanatory variables are the control variables used throughout the analysis. In column 2, the regression is augmented by *LogCoverage*, the log-insurance coverage. In column 3, log-settlement is regressed on log-insurance coverage alone. In column 4, all explanatory variables are included, in addition to resolution year, defendant

(*Continued*)

TABLE C.1—*(Continued)*

corporation, and litigation practice area fixed effects. The sample is based on the sample of lawsuits analyzed throughout the paper, restricted to the settled lawsuits where the insurance coverage can be directly observed; one observation corresponds to one lawsuit. In all specifications the *t*-statistics, reported in parentheses, are based on standard errors clustered around defendant corporations. In panel B, the table describes variables associated with insurance coverage disclosure in our sample lawsuits. We regress an indicator variable equal to 1 if insurance coverage is disclosed and 0 otherwise on characteristics of the defendant corporation (part I), of the plaintiff law firm (part II), of the lead plaintiff (part III), and of the lawsuit description as retrieved from the Advisen MSCAd and SCAC databases (part IV). Columns 1–3 consider all settled lawsuits; column 4 restricts the attention to shareholder lawsuits. Columns 2–4 also include the star plaintiff law firm indicator. All columns also include practice area, resolution year, and defendant corporation fixed effects. Column 4 does not include the practice area fixed effects as it restricts the sample to shareholder lawsuits. The symbols *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

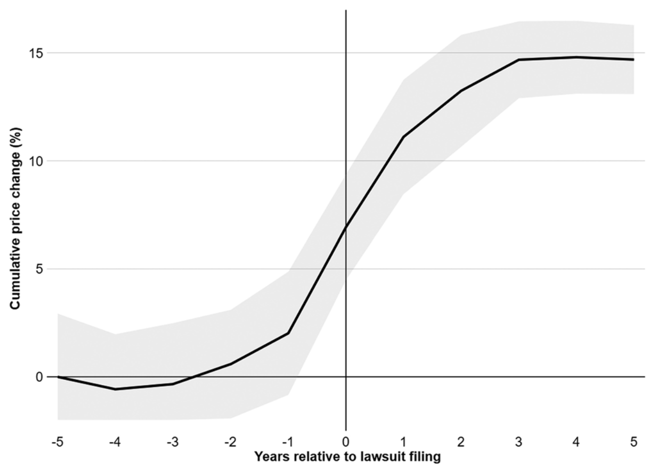

FIG. C.2.—Change in insurance pricing around corporate lawsuits.
The graph plots the cumulative abnormal insurance price return over the (–5,+5)-year period around corporate lawsuits, based on the sample of the proprietary data from the leading insurance provider. Those data contain detailed information about the price per unit paid by defendant corporations. We compute yearly percentage changes (returns) on the price per unit paid by each defendant corporation, net of the average for a matching group of insured corporations belonging to the same Fama–French 12 industry. The graph plots the average cumulative insurance price percentage change, and the shaded area marks the 95% confidence band around it.

TABLE C.2
Star Plaintiff Law Firms and Settlements: Additional Results

	(1)	(2)
Star	0.466***	0.386***
	(12.34)	(4.64)
Controls		Y
Resolution year f.e.	Y	Y
Defendant corp. f.e.		Y
Practice area f.e.		Y
R^2	0.07	0.35
N	16,526	10,129
F-test (*p*-value)	0.045 (0.83)	0.002 (0.96)

The table reports additional results on the relationship between star plaintiff law firms and corporate lawsuit settlements. It reports the estimates of regressions corresponding to columns 1 and 2 of table 2, where the sample is restricted to lawsuits for which data on the insurance coverage are not available. The estimates of the coefficients on the *Star* indicator are very close to those of table 2, and statistically indistinguishable from them based on the *F*-test for the difference reported in the bottom line of the table. The symbol *** denotes statistical significance at the 1% level.

TABLE C.3
Stock Returns Around the Filing and Resolution of Lawsuits

	Lawsuit Filing Date		Lawsuit Resolution Date: Settled Lawsuits		Lawsuit Resolution Date: Dismissed Lawsuits	
	CAR(−1,+1) (1)	CAR(−3,+3) (2)	CAR(−1,+1) (3)	CAR(−3,+3) (4)	CAR(−1,+1) (5)	CAR(−3,+3) (6)
Star	−1.376***	−2.613***	0.143	0.013	0.404**	0.177
	(−4.59)	(−7.11)	(0.90)	(0.06)	(2.46)	(0.66)
Controls	Y	Y	Y	Y	Y	Y
Resolution year f.e.	Y	Y	Y	Y	Y	Y
Defendant corp. f.e.	Y	Y	Y	Y	Y	Y
Practice area f.e.	Y	Y	Y	Y	Y	Y
R^2	0.47	0.51	0.32	0.32	0.24	0.25
N	20,865	20,865	8059	8059	9299	9299

The table reports the estimates of regressions of the stock returns around the filing or resolution of a lawsuit on the *Star* indicator, along with the set of controls used throughout (see table 2) and with resolution year, defendant corporation, and litigation practice area fixed effects. For each lawsuit, the defendant corporation's cumulative abnormal (market-adjusted) stock return (CAR) over the 3-day (–1,+1) or 7-day (–3,+3) window around the filing date or the resolution date (settlement or dismissal) is computed. Columns 1–2 focus on returns around the filing date, columns 3–4 around the settlement date, and columns 5–6 around the dismissal date. In all specifications, the *t*-statistics, reported in parentheses, are based on standard errors clustered by defendant corporations. The symbols ** and *** denote statistical significance at the 5% and 1% levels, respectively.

TABLE C.4

Additional Checks on Insurance Coverage

Panel A: Censoring of insurance coverage in dismissed lawsuits; insurance coverage absorbing part of the effect of the star plaintiff law firms

		Mean	Multiple	Matched	Cash Holdings	
	Tobit	Imputation	Imputation	Sample	High	Low
	(1)	(2)	(3)	(4)	(5)	(6)
Star	0.042***	0.068***	0.081	0.031***	0.051***	0.084***
	(10.69)	(5.62)	(1.43)	(5.88)	(3.60)	(4.37)
Controls	Y	Y	Y	Y	Y	Y
Resolution year f.e.	Y	Y	Y	Y	Y	Y
Defendant corp. f.e.	Y	Y	Y	Y	Y	Y
Practice area f.e.	Y	Y	Y	Y	Y	Y
R^2	—	—	—	0.25	0.47	0.27
N	13,260	10,166	12,027	4536	7388	5872
Difference *F*-test (*p*-value)					1.86 (0.17)	

Panel B: Defendant companies facing multiple lawsuits

	(1)	(2)	(3)	(4)
Star	0.046**	0.004	0.040***	0.020
	(2.55)	(0.22)	(3.33)	(1.37)
Star × ln(Nr. Lawsuits)	0.018*			
	(1.71)			
ln(*Nr. Lawsuits*)	0.006			
	(1.08)			
Star × (Nr. lawsuits = 2)		0.035		
		(1.25)		
Star × (2 < Nr. lawsuits ≤ 5)		0.098***		
		(3.36)		

(*Continued*)

TABLE C.4—*(Continued)*

Panel B: Defendant companies facing multiple lawsuits

	(1)	(2)	(3)	(4)
Star × (5 < Nr. lawsuits ≤ 10)		0.097**		
		(2.48)		
Star × (Nr. lawsuits > 10)		0.059**		
		(2.29)		
Star × *Prior settlements ratio*			0.001***	
			(3.26)	
Prior settlements ratio			0.001***	
			(3.29)	
Star × (*Prior settlements ratio* > 50th pctl)				0.122***
				(2.97)

(*Continued*)

TABLE C.4—*(Continued)*

Panel B: Defendant companies facing multiple lawsuits

	(1)	(2)	(3)	(4)
Controls	Y	Y	Y	Y
Nr. lawsuits group indicators		Y		
Pr. settlements ratio > 50th pctl indicator				Y
Resolution year f.e.	Y	Y	Y	Y
Defendant corp. f.e.	Y	Y	Y	Y
Practice area f.e.	Y	Y	Y	Y
R^2	0.23	0.23	0.26	0.24
N	11,182	12,027	11,182	11,182

The table reports several checks, discussed in greater detail in appendix D. In panel A, the table reports the estimates of regressions corresponding to table 2, column 6. Columns 1 and (2) report two checks against the possibility of measurement error driven by censoring of insurance coverage in dismissed lawsuits. Column 1 reports the estimates of a Tobit regression where the dependent variable is the difference *LogSettlement-LogCoverage*, assumed to be censored at zero (the marginal effect of the *Star* indicator is reported). Column 2 reports the estimates of a regression where the unobserved insurance coverage is imputed via mean imputation. Column 3 reports the estimates of a regression where the unobserved insurance coverage in dismissed lawsuits is imputed, using Markov chain-Monte Carlo multiple imputation (MCMC-MI; appendix D provides more details about this approach). Columns 4, 5, and 6 report two checks against the possibility that the insurance coverage absorbs part of the effect of star plaintiff law firms. In column 4, every lawsuit with a star plaintiff law firm is matched to a lawsuit with a non-star plaintiff law firm, in the same litigation area and having similar settlement amount (for dismissed lawsuits, a matching lawsuit is selected where the defendant corporation has the closest size). In columns 5 and 6, the sample is split based on the cash-to-total assets ratio of the defendant corporation the year prior to the filing of the lawsuit, above and below the median. The row labeled "Difference *F*-test (*p*-value)" reports the *F*-test statistic for the difference between the coefficients on the *Star* indicator in columns 5 and 6 and the associated *p*-value. In panel B, the table reports tests examining the relationship between the baseline effect documented in column 6 of table 2 (with as dependent variable *LogSettlement* − *LogCoverage*) and the number of lawsuits that a given defendant company faces in a given calendar year. The variable *Nr. lawsuits* equals the number of lawsuits filed against a given company in a given year. The variable *Prior settlements ratio* is defined as the ratio between the total settlement amount the defendant firm faces in a given year and the average yearly settlement amount it has faced over the previous five years. In specification (1), the *Star* law firm indicator is interacted with the natural logarithm of *Nr. lawsuits*; in specification (2), it is interacted with indicators for number of lawsuits equal to 2, between 3 and 5, 6 and 10, and greater than 10. In specification (3), the *Star* law firm indicator is interacted with the natural logarithm of *Prior settlements ratio*; in specification (4), it is interacted with an indicator for *Prior settlements ratio* larger than its median (equal to 1). The control variables are equal to those included in the baseline regression of column 6 in table 2. In all specifications the *t*-statistics, reported in parentheses, are based on standard errors clustered by defendant corporations. The symbols *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

TABLE C.5

Changes in Governance Around Corporate Lawsuits: Additional Checks

	Governance Indexes		Board			CEO	Changes in CEO Compensation			
	G-Index (1)	E-Index (2)	Departures (3)	Additions (4)	ΔSize (5)	Change (Y/N) (6)	Salary (7)	Bonus (8)	Equity-Based (9)	Total (10)
Panel A: Average changes in governance-related variables; settled and dismissed lawsuits										
Settled lawsuits	0.013***	0.044***	1.150***	1.389***	−0.276***	0.146***	0.125***	−0.246***	−0.263***	0.259***
	(7.50)	(13.76)	(46.84)	(53.68)	(−16.83)	(37.69)	(21.90)	(−32.18)	(−41.17)	(15.91)
Dismissed lawsuits	0.004	0.070***	0.772***	1.126***	−0.373***	0.139***	0.139***	−0.139***	−0.120***	0.429***
	(1.55)	(20.64)	(39.62)	(51.01)	(−29.44)	(39.81)	(22.92)	(−20.95)	(−25.61)	(19.93)
Panel B: Regression estimates; settled lawsuits										
Star	0.002	−0.008	−0.073	−0.166	0.060	0.017	0.007	−0.036	−0.022	0.075
	(0.47)	(−0.96)	(−0.78)	(−1.50)	(0.89)	(1.03)	(0.23)	(−1.54)	(−1.65)	(0.88)
R^2	0.56	0.33	0.38	0.37	0.33	0.31	0.47	0.62	0.23	0.60
N	1376	4002	3181	3286	3180	7179	5409	4953	5348	5461
Panel C: Regression estimates; dismissed lawsuits										
Star	0.007	0.002	0.007	0.082	−0.065	0.018	−0.028	−0.001	−0.018	−0.089
	(0.40)	(0.21)	(0.06)	(0.64)	(−0.82)	(1.10)	(−1.09)	(−0.01)	(−1.01)	(−0.91)
R^2	0.54	0.47	0.39	0.37	0.37	0.26	0.46	0.57	0.33	0.55
N	741	5233	3500	3583	3498	8441	5595	5171	5597	5645
Panel D: Regression estimates; all lawsuits										
Star	0.012	−0.002	−0.045	−0.042	−0.025	0.012	−0.012	−0.010	−0.028	−0.027
	(1.09)	(−0.25)	(−0.59)	(−0.50)	(−0.43)	(1.20)	(−0.49)	(−0.57)	(−2.44)	(−0.34)
Mutual fund company	−0.002	0.045**	0.048	0.252	−0.181	0.002	0.059	0.000	−0.009	0.050
	(−0.17)	(2.47)	(0.23)	(0.95)	(−1.08)	(0.05)	(1.09)	(0.01)	(−0.31)	(0.26)
Worker-related inst.	−0.015	0.039***	0.157	0.203	−0.079	0.022	0.119	−0.033	0.017	0.420
	(−1.05)	(2.74)	(0.57)	(0.65)	(−0.38)	(0.66)	(1.32)	(−0.64)	(0.47)	(1.54)

(*Continued*)

TABLE C.5—*(Continued)*

	Governance Indexes		Board			CEO	Changes in CEO Compensation			
	G-Index (1)	E-Index (2)	Departures (3)	Additions (4)	ΔSize (5)	Change (Y/N) (6)	Salary (7)	Bonus (8)	Equity-Based (9)	Total (10)
Authority	−0.010	−0.013	0.014	0.243	−0.212**	0.028	−0.016	0.005	−0.015	−0.163
	(−1.53)	(−1.34)	(0.09)	(1.35)	(−1.96)	(1.35)	(−0.33)	(0.14)	(−0.65)	(−1.47)
Activist	0.025**	−0.011	−0.031	−0.335	0.305**	−0.017	−0.009	0.067	−0.038	−0.224**
	(2.03)	(−0.64)	(−0.16)	(−1.40)	(2.51)	(−0.60)	(−0.25)	(1.20)	(−1.21)	(−2.17)
Public company	−0.068*	0.084**	0.037	0.689	−0.642***	0.005	0.046	0.092	0.066	0.055
	(−1.70)	(2.35)	(0.10)	(1.52)	(−2.74)	(0.09)	(0.54)	(1.07)	(1.52)	(0.22)
Private company	0.027	0.072**	−0.015	0.494	−0.536**	0.012	0.150	0.011	0.011	0.098
	(1.19)	(2.26)	(−0.05)	(1.31)	(−2.37)	(0.28)	(1.11)	(0.16)	(0.25)	(0.26)
Other/no information	−0.018	0.048**	−0.034	0.164	−0.241	0.002	0.112	−0.034	−0.011	0.193
	(−1.00)	(2.35)	(−0.11)	(0.48)	(−1.00)	(0.06)	(1.21)	(−0.57)	(−0.30)	(0.65)
R^2	0.468	0.365	0.332	0.321	0.275	0.229	0.298	0.409	0.554	0.246
N	1789	8839	5915	6073	5912	14,484	10,265	9467	10,239	10,364

(*Continued*)

TABLE C.5—*(Continued)*

	Governance Indexes		Board			CEO	Changes in CEO Compensation			
	G-Index (1)	E-Index (2)	Departures (3)	Additions (4)	ΔSize (5)	Change (Y/N) (6)	Salary (7)	Bonus (8)	Equity-Based (9)	Total (10)
Panel E: Regression estimates; shareholder lawsuits										
Star	0.018	−0.003	−0.060	−0.115	0.043	0.015	−0.008	0.000	−0.021	−0.001
	(1.30)	(−0.46)	(−0.68)	(−1.30)	(0.65)	(1.34)	(−0.35)	(0.00)	(−1.76)	(−0.01)
Mutual fund company	−0.007	0.032*	0.091	0.366	−0.240	0.016	0.018	0.024	−0.007	−0.097
	(−0.61)	(1.70)	(0.36)	(1.18)	(−1.07)	(0.53)	(0.45)	(0.51)	(−0.22)	(−0.68)
Worker−related inst.	−0.013	0.023	0.330	0.503	−0.189	0.019	0.114	−0.007	0.013	0.350
	(−1.05)	(1.28)	(1.08)	(1.46)	(−0.82)	(0.58)	(1.37)	(−0.12)	(0.35)	(1.43)
Authority	−0.006	−0.008	0.054	0.364*	−0.292**	0.026	0.007	0.027	0.001	−0.006
	(−0.93)	(−0.83)	(0.29)	(1.70)	(−2.43)	(1.23)	(0.15)	(0.65)	(0.06)	(−0.05)
Activist	0.026*	−0.004	−0.085	−0.555**	0.436***	−0.004	0.007	0.065	−0.077**	−0.232**
	(1.91)	(−0.26)	(−0.38)	(−2.13)	(2.94)	(−0.12)	(0.23)	(0.98)	(−2.34)	(−2.36)
Public company	−0.140	0.064	−0.448	−0.122	−0.304	−0.028	−0.030	−0.157	0.051	−0.522**
	(−1.42)	(0.71)	(−0.82)	(−0.13)	(−0.61)	(−0.34)	(−0.75)	(−0.81)	(0.71)	(−2.20)
Private company	0.027	0.025	0.750	1.375**	−0.699**	−0.004	0.231	0.047	0.080	0.522
	(0.91)	(0.84)	(1.60)	(2.42)	(−2.44)	(−0.08)	(1.27)	(0.50)	(1.25)	(0.90)
Other/no information	−0.018	0.050**	0.027	0.342	−0.361	0.005	0.100	0.028	−0.028	0.042
	(−1.04)	(1.99)	(0.08)	(0.88)	(−1.27)	(0.12)	(1.22)	(0.46)	(−0.67)	(0.17)
R^2	0.547	0.350	0.442	0.452	0.357	0.401	0.287	0.533	0.654	0.231
N	728	2561	2254	2335	2253	4811	3389	2972	3359	3413

The table reports tests similar to the ones of table 6. Panel A reports the average changes in governance-related variables around settled and dismissed lawsuits. Panels B and C report regressions on the *Star* indicator, along with the control variables and fixed effects used throughout, for settled and dismissed lawsuits, respectively. Panel D reports regressions on *Star* indicator along with indicators for the lead plaintiff types, and panel E reports similar regressions, restricting the sample to shareholder lawsuits. The symbols *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

TABLE C.6
Additional Robustness Checks

	LogSettlement		*LogSettlement − LogCoverage*	
	(1)	(2)	(3)	(4)
Star(baseline; based on settlement values)	0.390***	(9.48)	0.069***	(5.77)
Panel A: Sample restrictions				
Dropping $0 settlements	0.396***	(9.56)	0.070***	(5.87)
Dropping settlements with nonmonetary component	0.318***	(8.32)	0.057***	(5.40)
Excl. top 1 plaintiff law firms by practice area	0.283***	(7.10)	0.057***	(4.49)
Excl. top 3 plaintiff law firms by practice area	0.390***	(6.57)	0.061***	(3.47)
Excl. top 5 plaintiff law firms by practice area	0.359***	(4.27)	0.075***	(2.66)
Excl. top 1 plaintiff law firms overall	0.283***	(7.10)	0.057***	(4.49)
Excl. top 3 plaintiff law firms overall	0.354***	(6.25)	0.054***	(3.25)
Excl. top 5 plaintiff law firms overall	0.366***	(4.34)	0.076***	(2.67)
Panel B: Alternative standard errors				
Cluster: Fama–French 12 industry (block bootstrap)	0.390***	(9.06)	0.069***	(6.18)
Cluster: Fama–French 12 industry and year (block bootstrap)	0.390***	(7.90)	0.069***	(4.01)
Cluster: Law firm (highest ranked)	0.390***	(2.86)	0.069***	(3.65)
Cluster: Law firm (highest ranked) and year	0.390***	(2.88)	0.069***	(3.66)
Cluster: Law firm teams	0.390***	(7.99)	0.069***	(4.57)
Cluster: Law firm teams and year	0.390***	(6.41)	0.069***	(3.73)
Panel C: Additional sets of controls and fixed effects				
Industry f.e. instead of defendant f.e.	0.420***	(11.98)	0.072***	(7.38)
Panel D: Sub-periods				
Pre-2000	0.202*	(1.71)	0.029	(0.89)
2001–2005	0.726***	(6.19)	0.094***	(3.41)
2006–2010	0.393***	(6.46)	0.061***	(2.97)
Post-2010	0.289***	(5.54)	0.069***	(4.48)

The table reports additional robustness checks, omitted for brevity from table 4. The symbols * and *** denote statistical significance at the 10% and 1% levels, respectively.

TABLE C.7

Plaintiff and Lead Plaintiff Types

	% lawsuits	
	As plaintiff (1)	As lead plaintiff (2)
Mutual fund company	8.67	13.36
Worker-related institutional plaintiff	12.68	19.40
Authority (DOJ or SEC)	3.88	3.48
Activist	7.45	8.02
Listed company	8.76	6.21
Private company	19.31	12.58

In column 1, the table reports the percentage of the lawsuits in our data where a plaintiff belongs to one of the following categories: mutual fund company, worker-related institutional plaintiff, authority (DOJ or SEC), activist investor, listed company, or private company. The plaintiff types are identified by manually screening plaintiff names for the lawsuits in our data. The omitted category comprises plaintiffs who are individuals or cannot be identified. The plaintiff categories are not mutually exclusive, because multiple plaintiffs (and plaintiff types) can be associated with the same lawsuit. In column 2, the table reports the percentage of the lawsuits in our data where the lead can be identified among the plaintiffs and they belong to the same categories; lead plaintiffs can be identified in 24.7% of the lawsuits in table 2.

APPENDIX D: ALTERNATIVE EXPLANATIONS FOR THE BASELINE ESTIMATES OF TABLE 2

This appendix discusses three alternative explanations for the baseline results of table 2, which we are able to rule out.

A first alternative explanation is measurement error, which can arise from the fact that when a lawsuit is dismissed and the settlement amount is therefore zero, the amount of insurance paid out on the settlement is also zero. Because the actual insurance coverage purchased by the defendant company is not zero but a positive amount (nearly all publicly listed firms purchase litigation insurance), that results in a more favorable estimate of the plaintiff law firm's performance net of the insurance coverage benchmark. This could lead us to underestimate the performance of star law firms if their lawsuits are more frequently settled. We address this possibility in tests reported in appendix table C.4 (panel A): in column 1, we estimate a Tobit model assuming censoring of the dependent variable *LogSettlement* − *LogCoverage* at zero; in column 2, we impute the unobserved values of *LogCoverage* in the dismissed lawsuits using multiple imputation combined with Markov Chain-Monte Carlo (Rubin [1987], Schafer (1997)).

The Markov Chain-Monte Carlo with multiple imputation (MCMC-MI) data augmentation algorithm seeks to obtain imputed values for the insurance coverage in the dismissed cases, using the available information. The intuition behind the MCMC-MI approach is as follows. A naïve solution to the problem could be mean imputation, that is, imputing an average value in the place of the unobserved insurance coverage. Mean imputation, however, artificially reduces the variance of the imputed variable, and does not preserve relationships between variables such as correlations.

Multiple imputation (MI) addresses these difficulties by drawing multiple imputed values from the joint distribution of the variables in the data, thus preserving their variability and correlations. The Markov Chain-Monte Carlo method (Rubin [1987], Schaefer [1997, p. 68]) obtains the joint distribution as the limit of a Markov chain based on the observed data. The procedure is repeated m times, yielding m multiple imputations for the unobserved insurance coverage data, and inference is drawn by averaging the estimates across the m imputations. In our tests, we set $m = 500$ and rely on the Rubin [1996] standard errors.

Under both the Tobit and MCMC-MI approaches, the estimated effect of the $Star$ law firm indicator is close to our baseline of table 2, column 6, suggesting that measurement error is unlikely behind our results.[44]

[44] In additional tests, omitted for brevity, we apply alternative approaches to address the unobserved $Coverage$ in dismissed lawsuits, obtaining results close to our baseline. If we apply list-wise deletion, restricting the sample to the settled lawsuits, the coefficient on the $Star$ indicator is 0.090 (t-statistics: 0.95); if we impute the average insurance coverage associated

A second alternative explanation is that defendants facing stars tend to have higher insurance coverage and/or defendants facing non-stars lower insurance coverage.[45] We perform two checks against this possibility. To illustrate the first one, suppose that when the defendant company expects a large lawsuit, it also expects to face a star plaintiff law firm and buys a larger insurance coverage. Suppose that the star plaintiff law firm raises the expected (log-)settlement amount by A, and suppose that a corporation purchases an additional insurance (log-)coverage B if it expects a large lawsuit brought by a star. Let w_{LS} denote the proportion of observations in equation (1) associated with large settlements and star law firms, w_{SS} the proportion of small settlements with star law firms, and w_{LNS} and w_{SNS} the corresponding proportions with non-star law firms. A regression of *LogSettlement* − *LogCoverage* on the $Star$ indicator then estimates:

$$w_{LS} \times (A - B) - w_{LNS} \times (-B) + w_{SS} \times A - w_{SNS} \times 0. \tag{D.1}$$

If defendants that expect large lawsuits and star law firms tend to buy larger insurance coverage, we expect $w_{LS} > w_{LNS}$, leading to underestimating the effect of the stars, A. Equation (D.1) indicates that this problem can be addressed by stratifying the sample such that $w_{LS} \approx w_{LNS}$ and $w_{SS} \approx w_{SNS}$. To that end, we resort to a matching approach: for each lawsuit with a star plaintiff law firm, we seek a matching lawsuit in the same litigation practice area, settled in the same year, and having the closest settlement size.[46] The results, reported in appendix table C.4 (panel A, column 3), show an estimate of the coefficient on the $Star$ law firm indicator of 0.030 (t-statistics: 5.89), smaller than the baseline of table 2. This suggests that our findings are not driven by a correlation between insurance coverage and the presence of a star law firm.

In the second check, we split the sample based on the defendant corporation's cash holdings the year prior to the filing of the lawsuit (above/below the median). Corporations that have lower cash holdings may be more conservative and tend to purchase more insurance (leading to a lower estimate of the performance net of the insurance benchmark), whereas those with high cash holdings may be willing to purchase relatively less insurance because their cash buffer could absorb higher settlement amounts.[47]

with lawsuits of the same type settled in the same year, the coefficient estimate is 0.064 (t-statistics: 5.66).

[45] Note that the institutional features of the corporate litigation insurance market discussed in subsection 3.1 suggest that it is unlikely that corporations systematically under-insure. Expensive insurance prices are unlikely because the insurance market is competitive (there are low entry barriers for insurers). Insured corporations may increase deductibles, reducing the effective coverage to lower the overall insurance cost; but that appears to be associated with modest gains at best (Guggenheim and Henderson [2008]).

[46] For dismissed lawsuits, where the settlement amount is zero, we require in addition that the matching lawsuit is associated with a defendant corporation closest in size to the defendant facing the star law firm.

[47] We thank Professor Kevin Murphy for suggesting this check.

The results are reported in appendix table C.4 (panel A, columns 4–5). The estimates of the coefficient on *Star* in the high- and low-cash holdings subgroups are not significantly different from each other; and we find a larger coefficient in the low-cash holdings subgroup, suggesting that our results are not driven by cash-rich companies buying less insurance. Together, these two checks indicate that the results of table 2 are not an artifact of insurance coverage absorbing part of the effect of star law firms.

A third potential alternative explanation is that when a defendant corporation faces multiple lawsuits in a sequence, they reduce the overall available insurance coverage so that the plaintiff law firms' performance is artificially inflated. Unlike the other alternative explanations discussed in this appendix, this mechanism could induce a bias in favor of star law firms (to the extent that they tend to face defendant corporations with multiple lawsuits). Several checks reported in appendix table C.4, panel B, indicate that this mechanism is unlikely to explain our results.

APPENDIX E: EXTRACTING THE NUMBER OF LAWYERS AND OTHER KEY EMPLOYEES FROM LAW FIRMS' WEB PAGES

As described in subsection 2.2, we scrape historical versions of law firms' web sites from the Internet Archive/Wayback Machine to retrieve characteristics such as web site availability, web site size, and the number of lawyers and other key employees.

We obtain the URLs of law firm web sites from the Bureau van Dijk (BvD) database and scrape these web sites using the Internet Archive/Wayback Machine. Our data collection starts in 1999, as the web site snapshots available from that year are of adequate quality. We collect web site snapshots annually, selecting one snapshot per year that is closest to a lawsuit associated with the given law firm. Due to the Wayback Machine's limit of 15 requests per minute, we restrict the collection to 200 pages per web site. For each web site, we gather all pages up to three layers of URL depth (defined as pages with no more than three forward slashes in their URLs). We then extract text content from the web sites by removing nontext elements such as HTML tags and links. The raw text, measured in kilobytes, is used to compute web page size and identify mentions of lawyers and other key employees.

To identify mentions of lawyers and other key employees on each web page, we use state-of-the-art textual analysis tools for Named Entity Recognition (NER). Specifically, we employ the Flair SequenceTagger model (Akbik, Blythe, and Vollgraf [2018], Akbik et al. [2019]) implemented in Python to detect named entities tagged as persons. The underlying assumption is that any person mentioned on a law firm's web page is likely to be a lawyer or another key employee of the firm. Flair is trained and optimized using the CoNLL-2003 named entity recognition data set (Tjong Kim Sang and De Meulder, [2003]), which comprises a large collection of Reuters newspaper articles from 1996, predating the start of our sample. For our analysis, we utilize Flair in conjunction with RoBERTa-based transformer word embeddings (Huang, Xu, and Yu, [2015], Devlin et al., [2019], Lin et al., 2020).

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